

Undertaking to the Australian Competition and Consumer Commission

Given under section 87B of the *Competition and Consumer Act 2010* (Cth) by Nestlé S.A., Nestlé Australia Ltd and Duke Holdco Pty Ltd

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1 Person giving the Undertaking

This Undertaking is given to the Australian Competition and Consumer Commission (**ACCC**) by Nestlé S.A. on behalf of itself and its subsidiaries, Nestlé Australia Ltd (ACN 000 011 316) (**Nestlé Australia**), and Duke Holdco Pty Ltd (ACN 160 607 509) (together referred to as **Nestlé** in this Undertaking).

2 Background

2.1 The Parties to the Proposed Acquisition

- (a) Nestlé S.A. is a public company listed on the Swiss stock exchange and organised under Swiss law. Nestlé S.A. is a global manufacturer, primarily involved in the production, marketing and sale of a large variety of food and beverage products, including dairy products; coffee beverages; packaged water; cereals; health care nutrition products; culinary products including prepared food, condiments, sauces and dry pasta; chocolate and tea beverages; confectionary products including chocolate, sugar and snacks, and pet food. Nestlé S.A. is also engaged in some non-food related activities.
- (b) Nestlé Australia is the Australian subsidiary of Nestlé S.A. Nestlé Australia supplies a range of products including beverages, pet foods, cereals, confectionery, snack products, healthcare nutrition products, performance nutrition products and infant nutrition products.
- (c) In Australia, Nestlé Australia supplies infant nutrition products under the NAN, Lactogen and Alfare brands.
- (d) Pfizer Inc. (**Pfizer**) is a public company listed on the New York, London, Euronext and Swiss stock exchanges. Pfizer Nutrition is a business unit of Pfizer and supplies infant nutrition products and maternal and adult nutrition products globally.
- (e) In Australia, Pfizer Australia Pty Ltd (**Pfizer Australia**) markets, distributes and sells infant nutrition products under the S-26 and SMA brands.

2.2 The Proposed Acquisition

- (a) Nestlé S.A. or its wholly owned subsidiary proposes to acquire the global infant nutrition business of Pfizer Nutrition (including certain prenatal and maternal vitamin products) (**Proposed Acquisition**). As a consequence of the Proposed Acquisition, the infant nutrition business of Pfizer Nutrition will be transferred to Nestlé S.A.

2.3 The ACCC's review

- (a) The ACCC commenced its public review of the Proposed Acquisition on 24 May 2012.
- (b) The ACCC has conducted extensive market inquiries and considered information provided by Nestlé, Pfizer and a range of industry participants and others. The purpose of the ACCC's inquiries was to assess whether or not the Proposed Acquisition would have the effect, or be likely to have the effect, of substantially lessening competition in any market in contravention of section 50 of the Act.

2.4 The ACCC's competition concerns

- (a) The ACCC has concluded that, in the absence of the Undertaking, the Proposed Acquisition would have the effect, or be likely to have the effect, of substantially lessening competition in:
 - (i) the market for the wholesale supply of infant and follow-on milk formulae (for infants that are newborn or up to 12 months of age) (**IFFO Milk**) in Australia; and
 - (ii) the market for the wholesale supply of growing-up milk formulae (for children aged between 1 and 5 years) (**GUMs**) in Australia.
- (b) In the absence of this Undertaking, the ACCC was concerned that the Proposed Acquisition would result in a significant increase in concentration in already concentrated markets (in particular for IFFO Milk), where barriers to entry and expansion appear high. If the Proposed Acquisition proceeded, the number of major suppliers of IFFO Milk and GUMs in each of the distribution channels (hospital, pharmacy and grocery/retail) would be reduced from three to two, with the two major suppliers controlling approximately 90% of sales in the relevant markets.
- (c) The ACCC was concerned that, if the Proposed Acquisition were to proceed, this would result in muted competition in the relevant markets, following the removal of Pfizer Nutrition – one of Nestlé's closest competitors in the supply of IFFO Milk and GUMs. This may provide Nestlé with an increased incentive or ability to raise prices and/or reduce the levels of promotion/discounting of IFFO Milk and GUMs products that it currently offers to retailers.
- (d) The ACCC was also concerned that as the Proposed Acquisition would reduce the number of firms among which to coordinate, it may increase the likelihood of coordinated conduct between the major suppliers of IFFO Milk and GUMs.

2.5 Objective of this Undertaking

- (a) Nestlé does not agree with the concerns expressed by the ACCC and does not consider that the Proposed Acquisition would be likely to substantially lessen competition in any market. However, in order to avoid delay and to address the ACCC's competition concerns, Nestlé has, without admission, offered this Undertaking pursuant to section 87B of the Act.
- (b) The objective of this Undertaking, in conjunction with the Pfizer Undertaking (discussed at clause 2.6 and attached as Schedule 7 of this Undertaking) is to address the competition concerns which the ACCC considers would be likely to arise as a result of the Proposed Acquisition. This Undertaking aims to achieve this objective by:
 - (i) ensuring the maintenance of a viable, effective, stand-alone, independent and long term competitor in the market for the wholesale supply of IFFO Milk in Australia and the market for the wholesale supply of GUMs in Australia;
 - (ii) ensuring the Approved Purchaser has the necessary assets, rights and agreements to compete effectively in the market

for the wholesale supply of IFFO Milk in Australia and the market for the wholesale supply of GUMs in Australia;

- (iii) maintaining the economic viability, marketability and competitiveness of the Divestiture Business prior to divestiture, including ensuring effective ring fencing measures are implemented;
- (iv) in order to ensure the maintenance of a viable, effective, stand-alone, independent and long term competitor, ensuring that for a period of 20 years from the Divestiture Date:
 - (A) the Divestiture Products are not re-introduced to Australia; and
 - (B) new products with the same formulations as the Divestiture Products are not introduced to Australia, and
 - (C) new products with non-material variations to the formulations of the Divestiture Products and that are effectively the same as the Divestiture Products are not introduced to Australia; and
 - (D) new products using the formulations of the Divestiture Products and to which Nestlé has added a new ingredient that would be a material variation to the formulations of the Divestiture Products are not introduced to Australia;
- (v) in order to ensure the maintenance of a viable, effective, stand-alone, independent and long term competitor, ensuring that Nestlé does not, for a period of five years from the Control Date, disparage the Approved Purchaser or make any reference to the S-26/SMA Brand Portfolio, any product within the S-26/SMA Brand Portfolio, or the Divestiture Business when Nestlé is marketing, promoting, or selling any new Nestlé infant nutrition product to a third party in or into Australia, subject to certain exceptions;
- (vi) requiring Nestlé to hold its interest in the Divestiture Business separate from Nestlé's other assets and businesses pending divestiture of the Divestiture Business;
- (vii) requiring Nestlé to appoint an Approved Independent Manager to manage the Divestiture Business from the Control Date to the Divestiture Date; and
- (viii) providing for the effective oversight of Nestlé's compliance with this Undertaking.

2.6 The Pfizer Undertaking

- (a) In accordance with this Undertaking, Nestlé has an obligation to use its best endeavours to procure the transfer of employees of the Divestiture Business to the Approved Purchaser, or a wholly-owned subsidiary of the Approved Purchaser, from Pfizer Australia. In addition, Nestlé has an obligation to ensure that transitional services are provided to the

Approved Purchaser, or a wholly-owned subsidiary of the Approved Purchaser, by Pfizer Australia.

- (b) Pfizer Australia has proffered the Pfizer Undertaking to the ACCC under Section 87B of the Act in respect of the transfer of personnel and the provision of transitional services to the Approved Purchaser (or its wholly-owned subsidiary that will own and operate the Divestiture Business after the Divestiture Date).
- (c) At the same time as the ACCC is considering this Undertaking and the Pfizer Undertaking, the ACCC will consider Pfizer Australia as the proposed Independent Manager of the Divestiture Business, to manage the Divestiture Business from the Control Date until the Divestiture Date in accordance with this Undertaking.

3 Commencement and termination of this Undertaking

3.1 Commencement

This Undertaking comes into effect when:

- (a) this Undertaking is executed by Nestlé; and
- (b) this Undertaking so executed is accepted by the ACCC

(the **Commencement Date**).

3.2 Termination

This Undertaking terminates:

- (a) in the case of Nestlé S.A. and Nestlé Australia, upon the expiry of the obligations in clauses 6.1 and 6.2 of the Undertaking; and
- (b) in the case of Duke Holdco, on the earlier of the date on which Duke Holdco is divested to the Approved Purchaser or upon the expiry of the obligations in clauses 6.1 and 6.2 of the Undertaking.

4 Cessation of Ongoing Obligations

4.1 Withdrawal

This Undertaking is taken to be withdrawn on the date the ACCC consents in writing to the withdrawal of this Undertaking in accordance with section 87B of the Act.

4.2 Revocation

The ACCC may, at any time, revoke its acceptance of this Undertaking if the ACCC becomes aware that any information provided to it was incorrect, inaccurate or misleading.

4.3 Waiver

The ACCC may, at any time, expressly waive in writing any of the obligations contained in this Undertaking or amend the date by which any such obligation is to be satisfied.

4.4 Completion

Clauses 1, 2, 2.6, 3.2, 10, 12, 13, 14, 15, 16, 17 and 18 survive completion of the obligations in clauses 5, 6, 7, 8, 8.7, 11, Schedule 4 and Confidential Schedules 5 and 6.

5 Divestiture of the Divestiture Business

5.1 Divestiture

- (a) Nestlé must, in accordance with this Undertaking, divest, or cause the divestiture of, the Divestiture Business to an Approved Purchaser.
- (b) Nestlé must divest, or cause the divestiture of, the Divestiture Business by:
 - (i) the sale, assignment, transfer and/or licence of all of the assets in Schedule 4 to the Approved Purchaser, pursuant to the Approved Sale and Purchase Agreement and within the Initial Sale Period, otherwise clause 11 applies;
 - (ii) the transfer or grant to the Approved Purchaser of all Consents pursuant to clause 5.2;
 - (iii) the transfer of any Transferred Personnel required pursuant to clause 5.3;
 - (iv) compliance with any Approved Technical Assistance Agreement required pursuant to clause 5.4;
 - (v) compliance with any Approved Interim Supply Agreement and Approved Divestiture Products Supply Agreement required pursuant to clause 5.5;
 - (vi) the provision of Process Technology to the Approved Purchaser pursuant to clause 5.6;
 - (vii) the provision of detailed information in respect of key or unique product ingredients used in the Divestiture Products to the Approved Purchaser pursuant to clause 5.7; and
 - (viii) the provision of Clinical Trial Results and Product Trial Results to the Approved Purchaser pursuant to clause 5.8.

5.2 Consents

- (a) Nestlé must:
 - (i) obtain or assist the Approved Purchaser to obtain as expeditiously as possible, all Consents as required before the Divestiture Date;
 - (ii) comply with all requirements necessary to obtain any Consents, including by promptly providing all information necessary for the Consents to be given;
 - (iii) act in good faith in its negotiations with the Approved Purchaser in relation to obtaining any Consents;

- (iv) promptly pay the costs and expenses of any third party reasonably incurred in providing the Consents; and
 - (v) enter an Approved Interim Supply Agreement with the Approved Purchaser, or vary any existing Approved Interim Supply Agreement as required by the Approved Purchaser, in relation to any goods or services that are required for the operation of the Divestiture Business which may be affected by any failure to gain a Consent.
- (b) If, seven Business Days before the Divestiture Date, the Approved Purchaser fails to obtain or is unable to obtain one or more Consents, then Nestlé must:
 - (i) immediately provide to the ACCC, in writing, details of the:
 - (A) Consents that have not been obtained;
 - (B) reasons why the Consents have not been obtained; and
 - (C) information or material required to obtain the Consents; and
 - (ii) continue to do everything in its power to satisfy clause 5.2(a) as soon as possible after the Divestiture Date (and until such time as clause 5.2(a) is satisfied).
- (c) Even if Nestlé has complied with clauses 5.2(a) and 5.2(b), it remains a breach of this Undertaking if Nestlé is unable to effect the divestiture of the Divestiture Business by reason of a failure to obtain Consents.

5.3 Transferred Personnel

- (a) At the option of the Approved Purchaser, Nestlé must use its best endeavours to ensure the transfer to the Approved Purchaser, or a wholly-owned subsidiary of the Approved Purchaser, by the Divestiture Date of all Dedicated Personnel who consent to the transfer of their employment (**Transferred Personnel**).
- (b) Nestlé must:
 - (i) not directly or indirectly discourage any Transferred Personnel from commencing, continuing or seeking employment with or providing services to, the Approved Purchaser;
 - (ii) take all steps to ensure that Pfizer does not directly or indirectly discourage any Transferred Personnel from commencing, continuing or seeking employment with or providing services to, the Approved Purchaser;
 - (iii) take all steps to ensure that Pfizer does not redeploy any Transferred Personnel to any other business operated by Pfizer prior to the Divestiture Date;
 - (iv) take all steps to ensure that Pfizer does not redeploy any Dedicated Personnel to any other business operated by Pfizer from the Commencement Date to the Divestiture Date;

- (v) take all steps to ensure that Pfizer, effective on the Divestiture Date, releases the Transferred Personnel from any obligations to provide services to Pfizer;
- (vi) take all steps to ensure that Pfizer, effective on the Divestiture Date, releases the Transferred Personnel from any non-compete or similar restraint of trade obligation, to the extent that such an obligation would otherwise prevent the person from performing his or her contemplated role in relation to the Divestiture Business or Unsold Business;
- (vii) not procure, promote or encourage the transfer of any of the Transferred Personnel from the Approved Purchaser to Nestlé for a period of two years after the Divestiture Date; and
- (viii) take all steps to ensure that Pfizer does not procure, promote or encourage the transfer of any of the Transferred Personnel from the Approved Purchaser to Pfizer for a period of two years after the Divestiture Date.

5.4 Technical Assistance

- (a) At the option of the Approved Purchaser, Nestlé must provide Technical Assistance required by the Approved Purchaser to operate the Divestiture Business pursuant to an Approved Technical Assistance Agreement, subject to the Technical Assistance being:
 - (i) provided on a transitional basis for no more than three years, which period is to be nominated by the Approved Purchaser, or such other period as agreed in writing with the ACCC;
 - (ii) provided at cost and all other terms provided on arm's length terms; and
 - (iii) approved by the ACCC pursuant to clause 7.3(a)(i)(B).
- (b) For the avoidance of doubt, any option to renew the supply of Technical Assistance exercised pursuant to the Approved Technical Assistance Agreement can only be exercised subject to the requirements of clause 5.4(a) being satisfied.

5.5 Interim Supply Agreements

- (a) Nestlé must:
 - (i) ensure the continuous supply of any goods (other than Divestiture Products) or services which are required to enable the Approved Purchaser to be a viable, effective, stand-alone independent and long-term competitor in the markets identified in clause 2.4 (**Approved Interim Supply Agreement**); and
 - (ii) enter into a supply agreement with the Approved Purchaser for the transitional supply of the Divestiture Products subject to clause 5.5(c) (**Approved Divestiture Products Supply Agreement**).
- (b) Nestlé must ensure that any Approved Interim Supply Agreement:

- (i) except in accordance with clause 5.8(b) lasts for a period of no longer than 12 months, which period is to be nominated by the Approved Purchaser, or such other period as agreed in writing with the ACCC;
 - (ii) provides for the supply, re-supply or toll manufacturing of the included goods and services at cost price;
 - (iii) is on such terms other than price which are no less favourable to the Approved Purchaser than arm's length terms; and
 - (iv) is approved by the ACCC pursuant to clause 7.3(a)(i)(C).
- (c) Nestlé must ensure that any Approved Divestiture Products Supply Agreement:
 - (i) commences on the Divestiture Date and lasts for a period of no longer than three years, with the Approved Purchaser being able to nominate lesser periods for individual included goods or services, or such other periods as agreed in writing with the ACCC;
 - (ii) provides for the supply, re-supply or toll manufacturing of the included goods and services at cost price;
 - (iii) is on such terms other than price which are no less favourable to the Approved Purchaser than arm's length terms; and
 - (iv) is approved by the ACCC pursuant to clause 7.3(a)(i)(C).
- (d) For the avoidance of doubt, any option to renew the interim supply of goods or services exercised pursuant to the Approved Interim Supply Agreement can only be exercised subject to the requirements of clause 5.5(b) and 5.5(c) (as applicable) being satisfied.

5.6 Process Technology

- (a) As at the Divestiture Date, Nestlé must provide to the Approved Purchaser any Process Technology in existence as of the Control Date.
- (b) For a period of no longer than five years following the Divestiture Date, or such other period as agreed in writing with the ACCC (**Process Technology Provision Period**), Nestlé must provide the Approved Purchaser with developments to Process Technology at regularly scheduled intervals to be agreed between Nestlé and the Approved Purchaser.
- (c) Nestlé must ensure that at the conclusion of the Process Technology Provision Period, the Approved Purchaser has a licence in perpetuity to retain and utilise all Process Technology provided to it under clause 5.6.
- (d) During the Process Technology Provision Period, Nestlé shall provide Technical Assistance with respect to the Process Technology on the condition that the Approved Purchaser shall be obligated to do everything within its power to prevent any such technical information being communicated, disclosed to, used or accessed by any officer or

employee of the Approved Purchaser with responsibility for products solely distributed outside Australia.

5.7 Product Ingredients

- (a) Nestlé must provide the Approved Purchaser with detailed information in respect of key or unique product ingredients, including the sources of supply of such product ingredients, used in the Divestiture Products.
- (b) Nestlé must not engage in any conduct that hinders the Approved Purchaser's access to key or unique product ingredients used in the Divestiture Products.

5.8 Clinical and Product Trial Results

- (a) Nestlé must provide the Approved Purchaser with copies of Clinical Trial Results and Product Trial Results for a period of no longer than five years following the Divestiture Date, or such other period as agreed in writing with the ACCC.
- (b) Nestlé will provide the Approved Purchaser with reasonable access to appropriate Nestlé personnel or Nestlé representatives and Technical Assistance to assist the Approved Purchaser with the interpretation and understanding of Clinical Trial Results and Product Trial Results for a period of no longer than five years following the Divestiture Date, or such other period as agreed in writing with the ACCC.
- (c) Nestlé will permit the Approved Purchaser to rely on and use any such Clinical Trial Results and Product Trial Results in the normal course of conducting its business including marketing, education, promotion and sales in Australia.

5.9 HMO Information

- (a) Nestlé must provide to the Approved Purchaser any HMO Information which:
 - (i) is in existence as of the Control Date; and
 - (ii) is acquired by Nestlé from Pfizer on the Control Date,for use with respect to the Approved Purchaser's infant nutrition business in Australia only.
- (b) For the avoidance of doubt, Nestlé will be entitled to restrain the Approved Purchaser from using the HMO Information or Clinical Trial Results provided to the Approved Purchaser pursuant to clauses 5.8 and 5.9(a) in relation to all infant nutrition products sold or supplied outside of Australia.
- (c) Nestlé will use best endeavours to assist the Approved Purchaser to obtain as expeditiously as possible all necessary permissions from third parties reasonably necessary for the Approved Purchaser to gain access to information relating to Pfizer's human milk oligosaccharides research and development as outlined in Confidential Schedule 8 that is in existence at the Control Date and which is owned by third parties conducting research into human milk oligosaccharides for Pfizer so that the Approved Purchaser may use the information with respect to infant nutrition products to be supplied in Australia only.

- (d) Nestlé must act in good faith in its negotiations with the Approved Purchaser and all third parties to obtain any permissions referred to in clause 5.9(c) above.
- (e) Nestlé must promptly pay the costs and expenses of any third party reasonably incurred in providing the permissions referred to in clause 5.9(c) above.
- (f) Notwithstanding clause 5.2(c), Nestlé shall not be in breach of this Undertaking if Nestlé has complied with clauses 5.9(c), (d) and (e) above but Nestlé is unable to give effect to any aspect of its obligations under this clause 5.9 by reason of any refusal by a third party to provide a permission.
- (g) If Nestlé terminates any Agreement with a third party relating to research and development into human milk oligosaccharides acquired by Nestlé from Pfizer on the Control Date, Nestlé must not take any steps to prevent the Approved Purchaser from entering into any similar Agreement with the third party.

6 No (re)introduction and no disparagement

6.1 Undertaking not to reintroduce the S-26/SMA Brand Portfolio

Subject to clause 6.4, Nestlé must not:

- (a) reintroduce the S-26/SMA Brand Portfolio in Australia for a period of 20 years from the Divestiture Date, or
- (b) licence to any third party the S-26/SMA Brand Portfolio for use in Australia during the term of the Divestiture Products Trademark Licence and for a period of 10 years after the expiry of the Divestiture Products Trademark Licence.

6.2 Undertaking not to introduce products with the same formulations to the Divestiture Products or non-material variations to the formulations of the Divestiture Products

- (a) For a period of 20 years from the Divestiture Date, Nestlé must not, subject to clauses 6.2(b), 6.2(c), and 6.4:
 - (i) reintroduce in Australia any of the Divestiture Products; or
 - (ii) introduce in Australia new products using the same formulation as the Divestiture Products; or
 - (iii) introduce in Australia new products with such non-material variations to the formulations of the Divestiture Products that they are effectively the same as the Divestiture Products; or
 - (iv) introduce in Australia new products using the formulations of the Divestiture Products and to which Nestlé has added a new ingredient that would be a material variation to the formulations of the Divestiture Products.
- (b) Clause 6.2(a) shall not prevent Nestlé from:

- (i) supplying its existing range of infant nutrition products in Australia; or
- (ii) introducing or supplying new infant nutrition products in Australia, provided Nestlé complies with clause 6.2(a).
- (c) Nestlé shall not be in breach of its obligations under clause 6.2(a) merely because its infant nutrition products supplied in Australia contain the required ingredients pursuant to Standard 2.9.1 of the Australia New Zealand Food Standards Code.

6.3 Undertaking not to disparage the Approved Purchaser or to market, promote or sell new infant nutrition products with reference to S-26/SMA

- (a) For a period of five years from the Control Date, Nestlé must not in Australia:
 - (i) disparage or attempt to disparage the Approved Purchaser; or
 - (ii) subject to clause 6.3(b), make any reference to the S-26/SMA Brand Portfolio, any product within the S-26/SMA Brand Portfolio, or the Divestiture Business when Nestlé is marketing, promoting, or selling any new Nestlé infant nutrition product to a third party in or into Australia, unless:
 - (A) the reference is with respect to price; or
 - (B) the reference is to the range of available infant nutrition products in that category (including any product within the S-26/SMA Brand Portfolio or the Divestiture Business) and the reference does not single out the S-26/SMA Brand Portfolio, any product within the S-26/SMA Brand Portfolio, or the Divestiture Business.
- (b) Clause 6.3(a)(ii) shall not prevent Nestlé from:
 - (i) marketing, promoting or selling new infant nutrition products in or into Australia (subject to clause 6.1 and 6.2(a)) or from highlighting the benefits of such products; or
 - (ii) making reference to the S-26/SMA Brand Portfolio, any product within the S-26/SMA Brand Portfolio when Nestlé is marketing, promoting, or selling any existing infant nutrition products supplied by Nestlé in Australia at the Control Date; or
 - (iii) answering any consumer or health care professional inquiries, provided Nestlé does not criticise or disparage the Approved Purchaser, the S-26/SMA Brand Portfolio or any product within the S-26/SMA Brand Portfolio.

6.4 Maintenance of Licensed Marks registration

Nothing in clause 6.1 or 6.2(a) shall prevent Nestlé from making such use of the Licensed Marks solely as necessary to maintain any registrations for the Licensed Marks in Australia or avoid the non-use provisions under section 92 of the Trade Marks Act applying to any of the Licensed Marks.

7 Divestiture of the Divestiture Business to an Approved Purchaser

7.1 Divestiture only to an Approved Purchaser

Nestlé must divest the Divestiture Business to an Approved Purchaser, and must not authorise the Approved Divestiture Agent to divest the Divestiture Business to a purchaser other than an Approved Purchaser.

7.2 Provision of a notice for a Proposed Purchaser

- (a) To seek approval for a Proposed Purchaser in accordance with clause 7.3, Nestlé or the Approved Divestiture Agent must provide the ACCC with a Proposed Purchaser Notice in the form prescribed in Schedule 2 to this Undertaking (**Proposed Purchaser Notice**).
- (b) The Proposed Purchaser Notice must be provided to the ACCC at least 20 Business Days prior to the end of the Initial Sale Period.

7.3 Approval of a Proposed Purchaser after the Commencement Date

- (a) After receiving a Proposed Purchaser Notice, the ACCC must decide whether to:
 - (i) approve the person named in the Proposed Purchaser Notice as the Approved Purchaser which includes approving:
 - (A) the draft sale and purchase agreement attached to the Proposed Purchaser Notice;
 - (B) any draft technical assistance agreement attached to the Proposed Purchaser Notice, in accordance with the criteria in clause 5.4(a); and
 - (C) any draft interim supply agreement attached to the Proposed Purchaser Notice, in accordance with the criteria in clause 5.5(b) or 5.5(c); or
 - (ii) not approve the person named in the Proposed Purchaser Notice as the Approved Purchaser.
- (b) Without limiting the ACCC's discretion, in making the decision described in clause 7.3(a), the factors to which the ACCC may have regard include whether the:
 - (i) draft sale and purchase agreement is consistent with this Undertaking and otherwise acceptable to the ACCC;
 - (ii) Proposed Purchaser will complete the transaction as contemplated by the draft sale and purchase agreement;
 - (iii) Proposed Purchaser is independent of, and has no direct or indirect interest in, Nestlé;
 - (iv) Proposed Purchaser is of good financial standing;
 - (v) Proposed Purchaser has an intention to maintain and operate the Divestiture Business as a going concern;

- (vi) Proposed Purchaser is able to conduct the Divestiture Business effectively; and
 - (vii) divestiture of the Divestiture Business to the Proposed Purchaser will address any competition concerns of the ACCC, including in relation to the likely long-term viability and competitiveness of the Divestiture Business under the ownership of the Proposed Purchaser.
- (c) Within 10 Business Days after receiving a Proposed Purchaser Notice, the ACCC must notify Nestlé in writing of its decision made pursuant to clause 7.3(a).
 - (d) The ACCC may extend the period within which it will provide the notice described in clause 7.3(c) by notifying Nestlé in writing of the extension within 10 Business Days after receiving the Proposed Purchaser Notice.
 - (e) Any extension of time by the ACCC pursuant to clause 7.3(d) extends the Initial Sale Period by the same length of time.
 - (f) The ACCC may revoke an Approved Purchaser's status as the Approved Purchaser if the ACCC becomes aware that any information provided to it was incorrect, inaccurate or misleading.

8 Divestiture Business Protection

8.1 Protection of the assets of the Divestiture Business

Nestlé must not sell or transfer its interest, or any assets comprising part of, or used in, the Divestiture Business (other than the sale of goods and services in the ordinary course of business) or make any Material Change, except in accordance with this Undertaking, as required by the Approved Independent Manager, or as set out in the Approved Separation and Management Plan.

8.2 Nestlé's obligations in relation to the Divestiture Business

Without limiting this clause 8, Nestlé must, from the Control Date until the Divestiture Date:

- (a) ensure that Nestlé is not involved in the management and operation of the Divestiture Business;
- (b) ensure that the Divestiture Business is operationally and financially separate from Nestlé unless this Undertaking otherwise provides;
- (c) ensure that the books and records of the Divestiture Business are kept separate from those of Nestlé, except to the extent necessary for Nestlé to comply with the legal and regulatory obligations set out in clause 8.5(b);
- (d) take all steps to ensure that Nestlé and Pfizer do not directly or indirectly procure, promote or encourage the redeployment of personnel necessary for the operation of the Divestiture Business as at the Control Date to any other business operated by Pfizer or Nestlé;
- (e) ensure that the Divestiture Business has, at Nestlé's cost, access to and use of the personnel required by the Approved Independent Manager so that the Divestiture Business can continue to operate as a viable, competitive, going concern;

- (f) ensure that, except as otherwise approved by the Approved Independent Manager, any personnel (including contractors) concerned with the management or operation of the Divestiture Business are not concerned with the management or operation of any aspect of Nestlé's businesses other than the Divestiture Business;
- (g) provide access to working capital and sources of credit for the Divestiture Business in a manner which is consistent with the financing of the Divestiture Business before the Control Date;
- (h) provide, or take all steps to ensure that Pfizer provides, administrative and technical support for the Divestiture Business in a manner which is consistent with the operation of the Divestiture Business before the Control Date and in accordance with any plans established before the Control Date;
- (i) take all steps available to it to ensure that the Divestiture Business is managed and operated by the Approved Independent Manager in the ordinary course of business as a fully operational, competitive going concern and in such a way that preserves the economic viability, marketability, competitiveness and goodwill of the Divestiture Business at the Control Date;
- (j) minimise and take all steps available to it to ensure that the Approved Independent Manager minimises any risk of loss of competitive potential for the Divestiture Business;
- (k) take all steps available to it to ensure that the Approved Independent Manager continues existing Agreements relating to the Divestiture Business with customers, suppliers and/or other third parties that are in place at the Control Date;
- (l) take all steps available to it to ensure that the Approved Independent Manager renews or replaces upon expiry Material Contracts for the provision of goods or services to the Divestiture Business on commercial terms favourable to the Divestiture Business, subject to any changes reasonably and legally required to ensure separation of the Divestiture Business in accordance with the Approved Separation and Management Plan and which are notified to the ACCC in accordance with clause 8.4(a);
- (m) take all steps available to it to ensure that the Approved Independent Manager maintains the supply of those goods and services that are part of the Divestiture Business to existing customers in a manner consistent with the supply of those goods and services as at the Control Date;
- (n) take all steps available to it to ensure that the Approved Independent Manager maintains the standard of manufacture, distribution, promotion and sale of those products which form part of the Divestiture Business as at the Control Date; and
- (o) take all steps available to it to ensure that the Approved Independent Manager carries out promotion and marketing of the products which form part of the Divestiture Business in accordance with any plans established before the Control Date.

8.3 Direction to personnel of Nestlé

As soon as practicable after the Commencement Date, Nestlé must direct its personnel, including directors, contractors, managers, officers, employees and agents not to do anything inconsistent with Nestlé's obligations under this Undertaking.

8.4 Notification of separation changes

- (a) Nestlé must, within 10 Business Days after the Control Date, notify the ACCC of any changes to the Divestiture Business and/or Approved Separation and Management Plan that Nestlé or the Approved Independent Manager intend to make to ensure the separation of the Divestiture Business as required by clause 8.2, or otherwise in accordance with this Undertaking (**Separation Change Notification**).
- (b) Within five Business Days after receiving a Separation Change Notification, the ACCC will notify Nestlé in writing of its decision to:
 - (i) approve any proposed changes set out in the Separation Change Notification; or
 - (ii) not approve any proposed changes set out in the Separation Change Notification.
- (c) Nestlé must implement any changes approved by the ACCC and notified to Nestlé pursuant to clause 8.4(b)(i) within five Business Days after being so notified, or such other period as agreed in writing with the ACCC.

8.5 Confidential Information

- (a) Subject to clause 8.5(b), Nestlé must not, at any time from the Commencement Date, use or disclose any confidential information about the Divestiture Business gained through:
 - (i) ownership and/or management of the Divestiture Business; or
 - (ii) fulfilling any obligations pursuant to this Undertaking.
- (b) Clause 8.5(a) does not apply to information that Nestlé requires to:
 - (i) comply with legal and regulatory obligations including obligations relating to taxation, accounting, financial reporting or stock exchange disclosure requirements; or
 - (ii) carry out its obligations pursuant to this Undertaking;

provided such information is only used for that purpose and is only disclosed to those officers, employees, contractors and advisers of Nestlé who need to know the information to carry out the permitted purpose.

8.6 Ring Fenced Information

- (a) Any information requested by Nestlé from the Approved Independent Manager relating to the Divestiture Business which it requires in order to comply with any obligation under this Undertaking, and which obligation is notified to the Approved Independent Manager, who may decide

whether or not to provide access to that information, will be ring fenced information (**Ring Fenced Information**).

- (b) Subject to this Undertaking, Nestlé must, from the Control Date, do everything within its power to prevent any Ring Fenced Information being communicated, disclosed to, used or accessed by any officer or employee of Nestlé other than an officer or employee who needs that information in order for Nestlé to comply with its obligations under this Undertaking.
- (c) Nestlé must procure that each person to whom Ring Fenced Information is communicated or disclosed, or by whom Ring Fenced Information is accessed or used, in accordance with this clause 8.6 observes the restrictions on the communication, disclosure, use and access of Ring Fenced Information in this Undertaking as if those restrictions were obligations of that person.
- (d) Nestlé must use its best endeavours to:
 - (i) prevent any breach of the obligation of confidentiality in relation to Ring Fenced Information by such a person;
 - (ii) enforce the obligation of confidentiality in relation to the Ring Fenced Information by such a person; and
 - (iii) prevent any further breaches of confidentiality in relation to the Ring Fenced Information by such a person.
- (e) Nestlé must maintain Ring Fenced Information on files and on systems that are separate from those used by personnel of Nestlé who are not entitled to use the Ring Fenced Information.
- (f) Nestlé must advise the ACCC of any breach of the obligations of confidentiality in relation to Ring Fenced Information as soon as Nestlé becomes aware of the breach and, in any event, within two Business Days of Nestlé becoming aware of the breach.

8.7 Confidential Product Supply Information

- (a) Any information obtained by Nestlé relating to the Approved Divestiture Products Supply Agreement will be Confidential Product Supply Information (**Confidential Product Supply Information**).
- (b) Subject to this Undertaking, Nestlé must, from the Control Date, do everything within its power to prevent any Confidential Product Supply Information being communicated, disclosed to, used or accessed by any officer or employee of Nestlé Australia.
- (c) Nestlé must procure that each person to whom Confidential Product Supply Information is communicated or disclosed observes the restrictions on the communication, disclosure, use and access of Confidential Product Supply Information in this Undertaking as if those restrictions were obligations of that person.
- (d) Nestlé must use its best endeavours to:

- (i) prevent any breach of the obligation of confidentiality in relation to Confidential Product Supply Information by such a person;
 - (ii) enforce the obligation of confidentiality in relation to the Confidential Product Supply Information by such a person; and
 - (iii) prevent any further breaches of confidentiality in relation to the Confidential Product Supply Information by such a person.
- (e) Nestlé must maintain Confidential Product Supply Information on files and on systems that are separate from those used by personnel of Nestlé who are not entitled to use the Confidential Product Supply Information.
- (f) Nestlé must advise the ACCC of any breach of the obligations of confidentiality in relation to Confidential Product Supply Information as soon as Nestlé becomes aware of the breach and, in any event, within two Business Days of Nestlé becoming aware of the breach.

9 Independent Management of the Divestiture Business

9.1 Obligation to appoint an Approved Independent Manager

- (a) Nestlé must appoint and maintain an Approved Independent Manager to manage the Divestiture Business, from the Control Date until the Divestiture Date, in accordance with this Undertaking.
- (b) Without limiting its obligations in this Undertaking, Nestlé must:
 - (i) comply with and enforce the Approved Terms of Appointment of the Approved Independent Manager;
 - (ii) maintain and fund the Approved Independent Manager to carry out his or her functions, including:
 - (A) indemnifying the Approved Independent Manager for any expenses, loss, claim or damage arising directly or indirectly from the performance by the Approved Independent Manager of his or her functions as the Approved Independent Manager except where such expenses, loss, claim or damage arises out of the gross negligence, fraud, misconduct or breach of duty by the Approved Independent Manager;
 - (B) ensuring that the Approved Independent Manager is fully able to acquire and pay for sufficient and timely delivery of all goods and services (including from third parties) which the Approved Independent Manager considers are required by the Divestiture Business; and
 - (C) providing and paying for any external expertise, assistance or advice required by the Approved Independent Manager to perform his or her functions as the Approved Independent Manager; and

- (iii) not interfere with the authority of, or otherwise hinder, the Approved Independent Manager's ability to carry out his or her obligations as the Approved Independent Manager, including:
 - (A) accepting (and directing its directors, contractors, managers, officers, employees and agents to accept) direction from the Approved Independent Manager as to the control, management, financing and operations of the Divestiture Business, and for the Divestiture Business to meet all legal, corporate, financial, accounting, taxation, audit and regulatory obligations;
 - (B) providing access to the facilities, sites or operations of the Divestiture Business required by the Approved Independent Manager;
 - (C) providing to the Approved Independent Manager any information or documents requested by the Approved Independent Manager that he or she considers necessary for managing and operating the Divestiture Business or for reporting to or otherwise advising the ACCC;
 - (D) not requesting information or reports regarding the Divestiture Business or from the personnel of the Divestiture Business except through the Approved Independent Manager; and
 - (E) not appoint the Approved Independent Manager, or have any Agreements with the Approved Independent Manager, to utilise the Approved Independent Manager's services for anything other than compliance with this Undertaking until at least 2 years after the Approved Independent Manager ceases to act in the role of the Approved Independent Manager.

9.2 Approval of Pfizer Australia as the Approved Independent Manager

- (a) Prior to the Commencement Date and as a condition of the ACCC's acceptance of this Undertaking:
 - (i) the ACCC approved Pfizer Australia as the Approved Independent Manager, together with the Approved Terms of Appointment, which include the obligations in clause 9.6 of this Undertaking, except for clause 9.6(b)(v), and Approved Separation and Management Plan; and
 - (ii) Nestlé appointed Pfizer as the Approved Independent Manager on the Approved Terms of Appointment, and forwarded the ACCC a copy of the executed Approved terms of Appointment.

9.3 Resignation, revocation or termination of the Approved independent Manager

- (a) Nestlé must immediately notify the ACCC if the Approved Independent Manager resigns or otherwise stops acting as the Approved Independent Manager before the Divestiture Date.

- (b) The ACCC may revoke the Approved Independent Manager's status as the Approved Independent Manager if the ACCC becomes aware that any information provided to it was incorrect, inaccurate or misleading.
- (c) The ACCC may approve any proposal by, or alternatively may direct Nestlé to terminate the appointment of the Approved Independent Manager if in the ACCC's view the Approved Independent Manager acts inconsistently with the provisions of this Undertaking or the Approved Independent Manager's Approved Terms of Appointment.

9.4 Replacement of Approved Independent Manager

- (a) If the Approved Independent Manager resigns, has its status revoked, or appointment terminated pursuant to clause 9.3 prior to the Divestiture Date, Nestlé must, within five Business Days after the relevant event occurs, provide the ACCC with a Proposed Independent Manager Notice.
- (b) If the ACCC receives a Proposed Independent Manager Notice, the ACCC must decide whether to:
 - (i) approve the appointment of the person named in the Proposed Independent Manager Notice as the Approved Independent Manager which includes approving the:
 - (A) terms of appointment attached to the Proposed Independent Manager Notice; and
 - (B) draft separation and management plan attached to the Proposed Independent Manager Notice; or
 - (ii) not approve the person named in the notice as the Approved Independent Manager.
- (c) If clause 9.4(b)(ii) applies, the ACCC may, at its absolute discretion:
 - (i) direct Nestlé to submit a Proposed Independent Manager Notice that:
 - (A) names a person identified by the ACCC as the proposed Independent Manager; and/or
 - (B) includes attachments that:
 - (aa) relate to the person identified by the ACCC under clause 9.4(c)(i)(A) (if applicable); and/or
 - (ab) address any issues identified by the ACCC in relation to the terms of appointment and/or draft separation and management plan; or
 - (ii) identify and approve a person as the Approved Independent Manager together with the:
 - (A) terms of appointment; and/or
 - (B) draft separation and management plan.

- (d) As soon as practicable, and within two Business Days after any direction by the ACCC under clause 9.4(c)(i), Nestlé must submit a Proposed Independent Manager Notice in accordance with the direction.
- (e) Without limiting the ACCC's discretion, in making the decisions described in clause 9.4(b) or 9.4(c), the factors to which the ACCC may have regard include whether the:
 - (i) person named in the Proposed Independent Manager Notice or identified by the ACCC has the qualifications and experience necessary to manage the Divestiture Business;
 - (ii) person named in the Proposed Independent Manager Notice or identified by the ACCC is sufficiently independent of Nestlé;
 - (iii) terms of appointment and the draft separation and management plan are consistent with this Undertaking; and
 - (iv) terms of appointment and the draft separation and management plan are otherwise acceptable to the ACCC.
- (f) Within 10 Business Days after receiving a Proposed Independent Manager Notice, the ACCC must notify Nestlé in writing of its decisions and any direction made pursuant to clause 9.4(b) and/or 9.4(c).
- (g) The ACCC may extend the period within which it will provide notice of the decision or direction (if applicable) described in clause 9.4(f) by notifying Nestlé in writing of the extension within 10 Business Days after receiving the Proposed Independent Manager Notice.
- (h) If the Approved Independent Manager has not been appointed:
 - (i) by the Control Date;
 - (ii) within 17 Business Days after the Approved Independent Manager resigns or otherwise ceases to act as the Approved Independent Manager pursuant to clause 9.3(a), 9.3(b) or 9.3(c); or
 - (iii) if the ACCC has not received a Proposed Independent Manager Notice pursuant to clause 9.4(a);

then the provisions of clause 9.4(i) apply.
- (i) If clause 9.4(h) applies, the ACCC at its absolute discretion may:
 - (i) identify and approve a person as the Approved Independent Manager;
 - (ii) approve the terms of appointment of the Approved Independent Manager; and
 - (iii) approve the draft separation and management plan.

9.5 Appointment of the Approved Independent Manager

After receiving a notice from the ACCC of a decision pursuant to clause 9.4(b), 9.4(c)(ii), or 9.4(i), Nestlé must, within two Business Days:

- (a) appoint the person approved by the ACCC as the Approved Independent Manager on the Approved Terms of Appointment; and
- (b) forward to the ACCC a copy of the executed Approved Terms of Appointment within one Business Day of execution.

9.6 Obligations and powers of the Approved Independent Manager

- (a) Nestlé must procure that any proposed terms of appointment for the Approved Independent Manager include obligations on the Approved Independent Manager to:
 - (i) maintain his or her independence from Nestlé, apart from appointment to the role of Approved Independent Manager, including not form any relationship of the types described in paragraph 2(c) of Schedule 3 to this Undertaking with Nestlé for the period of his or her appointment;
 - (ii) act in the best interests of the Divestiture Business at all times;
 - (iii) not use any confidential information gained through the management of the Divestiture Business other than for performing his or her functions as Approved Independent Manager;
 - (iv) manage the Divestiture Business lawfully in the ordinary course of business, having regard to the nature of the Divestiture Business;
 - (v) make only those Material Changes to the Divestiture Business which have been approved by the ACCC;
 - (vi) operate and manage the Divestiture Business to the maximum extent practicable, in a manner which is financially and operationally separate from Nestlé;
 - (vii) keep the books and records of the Divestiture Business separate from those of Nestlé;
 - (viii) co-operate with the requests of any Approved Divestiture Agent or Approved Independent Auditor appointed pursuant to this Undertaking;
 - (ix) provide the following reports directly to the ACCC:
 - (A) a monthly written report regarding the implementation of and any suggested changes to the Approved Separation and Management Plan; and
 - (B) an immediate report of any issues that arise in relation to the implementation of the Approved Separation and Management Plan or compliance with this Undertaking by any person named in this Undertaking; and

- (x) follow any direction given to him or her by the ACCC in relation to the performance of his or her functions as Approved Independent Manager pursuant to this Undertaking.
- (b) Nestlé must procure that any proposed terms of appointment for the Approved Independent Manager provide the Approved Independent Manager with the sole authority to:
 - (i) manage and operate the Divestiture Business according to the Approved Separation and Management Plan until the Divestiture Date;
 - (ii) provide any information requested by Nestlé pursuant to the protocol in the Approved Separation and Management Plan;
 - (iii) decide whether or not to provide access and the manner of such access to competitively sensitive information relating to the Divestiture Business requested by Nestlé which is not covered by the protocol in the Approved Separation and Management Plan;
 - (iv) renew or replace upon expiry Material Contracts for the provision of goods or services to the Divestiture Business on commercial terms favourable to the Divestiture Business;
 - (v) redeploy or make redundant personnel employed in the Divestiture Business as the Approved Independent Manager determines necessary (the obligation in this clause 9.6(b)(v) will not apply where Pfizer Australia is the Approved Independent Manager); and
 - (vi) engage any external expertise, assistance or advice required by the Approved Independent Manager to perform his or her functions as the Approved Independent Manager.

10 Independent Audit

10.1 Obligation to appoint an Approved Independent Auditor

- (a) Nestlé must appoint and maintain an Approved Independent Auditor to audit and report upon Nestlé's compliance with this Undertaking.
- (b) Without limiting its obligations in this Undertaking, Nestlé must:
 - (i) comply with and enforce the Approved Terms of Appointment for the Approved Independent Auditor;
 - (ii) maintain and fund the Approved Independent Auditor to carry out his or her functions including:
 - (A) indemnifying the Approved Independent Auditor for any expenses, loss, claim or damage arising directly or indirectly from the performance by the Approved Independent Auditor of his or her functions as the Approved Independent Auditor except where such expenses, loss, claim or damage arises out of the gross

negligence, fraud, misconduct or breach of duty by the Approved Independent Auditor;

- (B) providing and paying for any external expertise, assistance or advice required by the Approved Independent Auditor to perform his or her functions as the Approved Independent Auditor; and
- (iii) not interfere with, or otherwise hinder, the Approved Independent Auditor's ability to carry out his or her functions as the Approved Independent Auditor, including:
 - (A) directing Nestlé personnel, including directors, contractors, managers, officers, employees and agents, to act in accordance with this clause 10;
 - (B) providing access to the facilities, sites or operations of the Divestiture Business and Nestlé's other businesses as required by the Approved Independent Auditor;
 - (C) providing to the Approved Independent Auditor any information or documents requested by the Approved Independent Auditor that he or she considers necessary for carrying out his or her functions as the Approved Independent Auditor or for reporting to or otherwise advising the ACCC;
 - (D) not requesting any information relating to the compliance audit from the Approved Independent Auditor without such a request having been approved by the ACCC; and
 - (E) not appoint the Approved Independent Auditor, or have any Agreements with the Approved Independent Auditor, to utilise the Approved Independent Auditor's services for anything other than compliance with this Undertaking until at least 12 months after the Approved Independent Auditor ceases to act in the role of the Approved Independent Auditor.

10.2 Approval of RSM Bird Cameron as the Approved Independent Auditor

- (a) Prior to the Commencement Date the ACCC approved RSM Bird Cameron as the Approved Independent Auditor, together with the Approved Terms of Appointment and Approved Audit Plan.
- (b) Within 2 Business Days following the Commencement Date and in any event no later than the Control Date, Nestlé must appoint RSM Bird Cameron as the Approved Independent Auditor on the Approved terms of Appointment, and forward to the ACCC a copy of the executed Approved Terms of Appointment.

10.3 Resignation, revocation or termination of the Approved Independent Auditor

- (a) Nestlé must immediately notify the ACCC in the event that the Approved Independent Auditor resigns or otherwise stops acting as the Approved

Independent Auditor before the ACCC has provided the written confirmation pursuant to clause 4.1, 4.2 or 4.3.

- (b) The ACCC may revoke an Approved Independent Auditor's status as the Approved Independent Auditor if the ACCC becomes aware that any information provided to it was incorrect, inaccurate or misleading.
- (c) The ACCC may approve any proposal by, or alternatively may direct, Nestlé to terminate the appointment of the Approved Independent Auditor if in the ACCC's view the Approved Independent Auditor acts inconsistently with the provisions of this Undertaking or the Approved Independent Auditor's Approved Terms of Appointment.

10.4 Replacement of Approved Independent Auditor

- (a) If the Approved Independent Auditor resigns, has his or her status revoked, or appointment terminated pursuant to clause 10.3 before the ACCC has provided the written confirmation pursuant to clause 4.1, 4.2 or 4.3, Nestlé must, within five Business Days after the relevant event occurs, provide the ACCC with a Proposed Independent Auditor Notice.
- (b) If the ACCC receives a Proposed Independent Auditor Notice, the ACCC must decide whether to:
 - (i) approve the appointment of the person named in the Proposed Independent Auditor Notice as the Approved Independent Auditor which includes approving the:
 - (A) terms of appointment attached to the Proposed Independent Auditor Notice; and
 - (B) draft audit plan attached to the Proposed Independent Auditor Notice; or
 - (ii) not approve the person named in the notice as the Proposed Independent Auditor.
- (c) If clause 10.4(b)(ii) applies, the ACCC may, at its absolute discretion:
 - (i) direct Nestlé to submit a Proposed Independent Auditor Notice that:
 - (A) names a person identified by the ACCC as the Proposed Independent Auditor; and/or
 - (B) includes attachments that:
 - (aa) relate to the person identified by the ACCC under clause 10.4(c)(i)(A)(if applicable); and/or
 - (ab) address any issues identified by the ACCC in relation to the terms of appointment and/or draft audit plan; or
 - (ii) identify and approve a person as the Approved Independent Auditor together with the:
 - (A) terms of appointment; and

- (B) draft audit plan.
- (d) As soon as practicable, and within two Business Days of any direction by the ACCC under clause 10.4(c)(i), Nestlé must submit a Proposed Independent Auditor Notice in accordance with the direction.
- (e) Without limiting the ACCC's discretion, in making the decisions described in clause 10.4(b) or 10.4(c), the factors to which the ACCC may have regard include whether the:
 - (i) person named in the Proposed Independent Auditor Notice or identified by the ACCC has the qualifications and experience necessary to carry out the functions of the Approved Independent Auditor;
 - (ii) person named in the Proposed Independent Auditor Notice or identified by the ACCC is sufficiently independent of Nestlé;
 - (iii) terms of appointment and the draft audit plan are consistent with this Undertaking; and
 - (iv) terms of appointment and the draft audit plan are otherwise acceptable to the ACCC.
- (f) Within 10 Business Days after receiving a Proposed Independent Auditor Notice, the ACCC must notify Nestlé in writing of its decision made pursuant to clause 10.4(b) and, if applicable, any direction made pursuant to clause 10.4(c).
- (g) The ACCC may extend the period within which it will provide notice of the decision or direction (if applicable) described in clause 10.4(f) by notifying Nestlé in writing of the extension within 10 Business Days after receiving the Proposed Independent Auditor Notice.
- (h) If the Approved Independent Auditor has not been appointed:
 - (i) by the Control Date,
 - (ii) within 17 Business Days after the Approved Independent Auditor resigns or otherwise ceases to act as the Approved Independent Auditor pursuant to clause 10.3(a), 10.3(b) or 10.3(c); or
 - (iii) if the ACCC has not received a Proposed Independent Auditor Notice pursuant to clause 10.4(a);

then the provisions of clause 10.4(i) apply.
- (i) If clause 10.4(h) applies, the ACCC at its absolute discretion may:
 - (i) identify and approve a person as the Approved Independent Auditor;
 - (ii) approve the terms of appointment of the Approved Independent Auditor; and
 - (iii) approve the draft audit plan.

10.5 Appointment of the Approved Independent Auditor

- (a) After receiving notice from the ACCC of a decision pursuant to clause 10.4(b), 10.4(c)(ii) or 10.4(i), Nestlé must, within two Business Days:
 - (i) appoint the person approved by the ACCC as the Approved Independent Auditor on the Approved Terms of Appointment; and
 - (ii) forward to the ACCC a copy of the executed Approved Terms of Appointment within one Business Day of execution.

10.6 Obligations and powers of the Approved Independent Auditor

- (a) Nestlé must procure that any proposed terms of appointment for the Approved Independent Auditor include obligations on the Approved Independent Auditor to:
 - (i) maintain his or her independence from Nestlé, apart from appointment to the role of Approved Independent Auditor, including not form any relationship of the types described in paragraph 2(c) of Schedule 3 to this Undertaking with Nestlé for the period of his or her appointment;
 - (ii) conduct compliance auditing according to the Approved Audit Plan;
 - (iii) provide the following reports directly to the ACCC:
 - (A) a scheduled written Audit Report as described in clause 10.7(a); and
 - (B) an immediate report of any issues that arise in relation to the performance of his or her functions as Approved Independent Auditor or in relation to compliance with this Undertaking by any person named in this Undertaking; and
 - (iv) follow any direction given to him or her by the ACCC in relation to the performance of his or her functions as Approved Independent Auditor under this Undertaking.
- (b) Nestlé must procure that any proposed terms of appointment for the Approved Independent Auditor provide the Approved Independent Auditor with the authority to:
 - (i) access the facilities, sites or operations of the Divestiture Business and Nestlé's other businesses as required by the Approved Independent Auditor;
 - (ii) access any information or documents that the Approved Independent Auditor considers necessary for carrying out his or her functions as the Approved Independent Auditor or for reporting to or otherwise advising the ACCC; and
 - (iii) engage any external expertise, assistance or advice required by the Approved Independent Auditor to perform his or her functions as the Approved Independent Auditor.

10.7 Compliance Audit

- (a) The Approved Independent Auditor must conduct an audit and prepare a detailed report (**Audit Report**) on:
 - (i) Nestlé's compliance with this Undertaking;
 - (ii) all of the reasons for the conclusions reached in the Audit Report;
 - (iii) any qualifications made by the Approved Independent Auditor in forming his or her views;
 - (iv) any recommendations by the Approved Independent Auditor to improve:
 - (A) the Approved Audit Plan;
 - (B) the integrity of the auditing process;
 - (C) Nestlé's processes or reporting systems in relation to compliance with this Undertaking; and
 - (D) Nestlé's compliance with this Undertaking; and
 - (v) the implementation and outcome of any prior recommendations by the Approved Independent Auditor.
- (b) The Approved Independent Auditor is to provide an Audit Report to the ACCC and Nestlé at the following times:
 - (i) within 10 Business Days after the Control Date, at which time the Audit Report is to include the results of the initial audit and any recommended changes to the Approved Audit Plan (**Establishment Audit**);
 - (ii) every month from the date of the Establishment Audit until the first month after the Divestiture Date;
 - (iii) every three months after the date of provision of the last Audit Report pursuant to clause 10.7(b)(ii), until the ACCC confirms in writing to Nestlé that it is satisfied that the divestiture of the Divestiture Business pursuant to clause 5 of this Undertaking has been completed; and
 - (iv) a final report due three months after the last report provided pursuant to clause 10.7(b)(iii).
- (c) Nestlé must implement any recommendations of the Approved Independent Auditor made in the Audit Report, and notify the ACCC of the implementation of the recommendations, within 10 Business Days after receiving the Audit Report or such other period as agreed in writing with the ACCC.
- (d) Nestlé must comply with any direction of the ACCC in relation to matters arising from the Audit Report within 10 Business Days after being so directed (or such other period as agreed in writing with the ACCC).

11 Failure to divest the Divestiture Business within the Initial Sale Period

11.1 Divestiture of the Unsold Business

In the event that the divestiture of the Divestiture Business to an Approved Purchaser is not completed by the end of the Initial Sale Period, the Divestiture Business becomes an unsold business and the provisions of clause 11 apply (**Unsold Business**).

11.2 Obligation to appoint an Approved Divestiture Agent

- (a) From the end of the Initial Sale Period, Nestlé must appoint and maintain an Approved Divestiture Agent to effect the divestiture of the Unsold Business.
- (b) Without limiting its obligations in this Undertaking, Nestlé must from the end of the Initial Sale Period:
 - (i) comply with and enforce the Approved Terms of Appointment for the Approved Divestiture Agent;
 - (ii) maintain and fund the Approved Divestiture Agent to carry out his or her functions, including:
 - (A) indemnifying the Approved Divestiture Agent for any expenses, loss, claim or damage arising directly or indirectly from the performance by the Approved Divestiture Agent of his or her functions as the Approved Divestiture Agent except where such expenses, loss, claim or damage arises out of the gross negligence, fraud, misconduct or breach of duty by the Approved Divestiture Agent;
 - (B) providing and paying for any external expertise, assistance or advice required by the Approved Divestiture Agent to perform his or her functions as the Approved Divestiture Agent;
 - (C) paying such fees as are agreed between the Approved Divestiture Agent and Nestlé (but not fees contingent on the price to be obtained for the Unsold Business); and
 - (D) if an agreement as to fees cannot be reached between the Approved Divestiture Agent and Nestlé within 15 Business Days after the end of the Initial Sale Period, Nestlé agrees to pay such fees as are directed by the ACCC;
 - (iii) not interfere with, or otherwise hinder, the Approved Divestiture Agent's ability to carry out his or her functions as the Approved Divestiture Agent, including:
 - (A) directing its personnel, including directors, contractors, managers, officers, employees and agents, to act in accordance with this clause 11.2;

- (B) providing access to the facilities, sites or operations of the Unsold Business as required by the Approved Divestiture Agent; and
- (C) providing to the Approved Divestiture Agent any information, documents or other assistance requested by the Approved Divestiture Agent that he or she considers necessary for carrying out his or her functions as the Approved Divestiture Agent or for reporting to or otherwise advising the ACCC;
- (iv) within three Business Days after receiving notice from the ACCC pursuant to clause 7.3(c), Nestlé must instruct the Approved Divestiture Agent to complete the divestiture of the Unsold Business to the Approved Purchaser in accordance with the documents approved by the ACCC pursuant to clause 7.3(a)(i); and
- (v) other than in accordance with clause 11.2(b)(iv) of this Undertaking, not instruct the Approved Divestiture Agent to divest the Unsold Business.

11.3 Approval of the Approved Divestiture Agent

- (a) At least 15 Business Days prior to the end of the Initial Sale Period, if the divestiture of the Divestiture Business has not been completed, Nestlé must provide the ACCC with a notice for a Proposed Divestiture Agent in the form of Schedule 3 to this Undertaking (**Proposed Divestiture Agent Notice**).
- (b) After receiving a Proposed Divestiture Agent Notice, the ACCC must decide whether to:
 - (i) approve the appointment of the person named in the Proposed Divestiture Agent Notice as the Approved Divestiture Agent which includes approving the:
 - (A) terms of appointment attached to the Proposed Divestiture Agent Notice;
 - (B) draft business sale agreement attached to the Proposed Divestiture Agent Notice; and
 - (C) draft marketing and sale plan attached to the Proposed Divestiture Agent Notice; or
 - (ii) not approve the person named in the Proposed Divestiture Agent Notice as the Approved Divestiture Agent.
- (c) If clause 11.3(b)(ii) applies, the ACCC may, at its absolute discretion:
 - (i) direct Nestlé to submit a Proposed Divestiture Agent Notice that:
 - (A) names a person identified by the ACCC as the Proposed Divestiture Agent; and/or
 - (B) includes attachments that:

- (aa) relate to the person identified by the ACCC under clause 11.3(c)(i)(A) (if applicable); and/or
 - (ab) address any issues identified by the ACCC in relation to the terms of appointment, draft business sale agreement, and/or draft marketing and sale plan; or
- (ii) identify and approve a person as the Approved Divestiture Agent together with the:
 - (A) terms of appointment;
 - (B) draft business sale agreement and/or
 - (C) draft marketing and sale plan.
- (d) As soon as practicable, and within two Business Days after any direction by the ACCC under clause 11.3(c)(i), Nestlé must submit a Proposed Divestiture Agent Notice in accordance with the direction.
- (e) Without limiting the ACCC's discretion, in making the decisions described in clause 11.3(b) or 11.3(c), the factors to which the ACCC may have regard include whether the:
 - (i) person named in Proposed Divestiture Agent Notice or identified by the ACCC has the qualifications and experience necessary to carry out the functions of the Approved Divestiture Agent;
 - (ii) person named in the Proposed Divestiture Agent Notice or identified by the ACCC is sufficiently independent of Nestlé;
 - (iii) terms of appointment, draft business sale agreement and draft marketing and sale plan are consistent with this Undertaking; and
 - (iv) terms of appointment, draft business sale agreement and draft marketing and sale plan are otherwise acceptable to the ACCC.
- (f) Within 10 Business Days after receiving a Proposed Divestiture Agent Notice, the ACCC must notify Nestlé in writing of its decision pursuant to clause 11.3(b) and, if applicable, and direction pursuant to clause 11.3(c).
- (g) The ACCC may extend the period within which it will provide notice of the decision or direction (if applicable) described in clause 11.3(f) by notifying Nestlé in writing of the extension within 10 Business Days after receiving the Proposed Divestiture Agent Notice.
- (h) Any extension of time by the ACCC under clause 11.3(g) extends the Initial Sale Period by the same length of time.
- (i) If the Approved Divestiture Agent has not been appointed:
 - (i) within 10 Business Days after the Divestiture Business becomes an Unsold Business;

- (ii) within 17 Business Days after the Approved Divestiture Agent resigns or otherwise ceases to act pursuant to clause 11.6(a), 11.6(b) or 11.6(c); or
- (iii) if the ACCC has not received a Proposed Divestiture Agent Notice pursuant to clause 11.6(d);

then the provisions of clause 11.3(j) apply.

- (j) If clause 11.3(i) applies, the ACCC may, at its absolute discretion:
 - (i) identify and approve a person as the Approved Divestiture Agent;
 - (ii) approve the terms of appointment of the Approved Divestiture Agent;
 - (iii) approve the draft business sale agreement; and
 - (iv) approve the draft marketing and sale plan.

11.4 Appointment of the Approved Divestiture Agent

- (a) After receiving notice from the ACCC of a decision pursuant to clause 11.3(b), 11.3(c)(ii) or 11.3(j), Nestlé must, within two Business Days:
 - (i) appoint the person approved by the ACCC as the Approved Divestiture Agent on the Approved Terms of Appointment; and
 - (ii) forward to the ACCC a copy of the executed Approved Terms of Appointment within one Business Day of execution.

11.5 Obligations and powers of the Approved Divestiture Agent

- (a) Nestlé must procure that any proposed terms of appointment for the Approved Divestiture Agent include obligations on the Approved Independent Divestiture Agent to:
 - (i) maintain his or her independence from Nestlé, apart from appointment to the role of Approved Divestiture Agent, including not form any relationship of the types described in paragraph 2(c) of Schedule 3 to this Undertaking with Nestlé for the period of his or her appointment;
 - (ii) not use any confidential information gained through the divestiture of the Unsold Business other than for performing his or her functions as Approved Divestiture Agent;
 - (iii) follow the Approved Marketing and Sale Plan;
 - (iv) divest the Unsold Business only to an Approved Purchaser, with no obligation imposed by Nestlé to achieve a divestiture at a minimum price;
 - (v) use his or her best endeavours to enter into a binding agreement for the divestiture of the Unsold Business as

quickly as possible using the Approved Business Sale Agreement;

- (vi) co-operate with the requests of any Approved Independent Manager or Approved Independent Auditor appointed pursuant to this Undertaking;
- (vii) every 30 Business Days following appointment of the Approved Divestiture Agent, provide written reports directly to the ACCC which include:
 - (A) information regarding the implementation of the Approved Business Sale Agreement and the Approved Marketing and Sale Plan including any previous changes approved by the ACCC;
 - (B) information regarding any suggested changes to any Approved Marketing and Sale Plan including any previous changes approved by the ACCC;
 - (C) an account and explanation of all disbursements, fees and charges incurred by the Approved Divestiture Agent in undertaking his or her duties by month and to the date of the report;
 - (D) a schedule of agreed fees of the Approved Divestiture Agent (including the fees of any adviser appointed under clause 11.5(b)(iv));
 - (E) the efforts made to sell the Unsold Business;
 - (F) the identity of any advisers engaged;
 - (G) the identity of any persons expressing interest in the Unsold Business; and
 - (H) any other information required by the ACCC;
- (viii) within 30 Business Days after the Divestiture Date, provide a written report directly to the ACCC which includes a final accounting of:
 - (A) any moneys derived from the divestiture of the Unsold Business;
 - (B) all disbursements, fees and charges incurred by the Approved Divestiture Agent in fulfilling his or her duties; and
 - (C) all agreed fees of the Approved Divestiture Agent (including the fees of any adviser appointed under clause 11.5(b)(iv));
- (ix) immediately inform the ACCC of:
 - (A) any issues that arise in relation to the implementation of the Approved Sale and Purchase Agreement and any Approved Marketing and Sale Plan;

- (B) non-compliance with this Undertaking by any person named in this Undertaking; and
 - (C) any offers for the Unsold Business;
 - (x) accept any offer for the Unsold Business upon instruction from Nestlé given in accordance with clause 11.2(b)(iv); and
 - (xi) follow any direction given to him or her by the ACCC in relation to the performance of his or her functions as Approved Divestiture Agent pursuant to this Undertaking.
- (b) Nestlé must procure that any proposed terms of appointment for the Approved Divestiture Agent contain an irrevocable grant of power of attorney conferring all necessary power and authority on the Approved Divestiture Agent to:
- (i) negotiate with purchasers to divest the Unsold Business on terms considered by the Approved Divestiture Agent in his or her sole discretion to be consistent with this Undertaking and the Approved Marketing and Sale Plan;
 - (ii) execute any agreements with the Approved Purchaser required pursuant to clause 7.3;
 - (iii) upon instruction pursuant to clause 11.2(b)(iv), complete the divestiture of the Unsold Business to the Approved Purchaser in accordance with the Approved Business Sale Agreement; and
 - (iv) engage any external expertise, assistance or advice required by the Approved Divestiture Agent to perform his or her functions as the Approved Divestiture Agent.
- (c) Any irrevocable power of attorney granted pursuant to clause 11.5(b) will end upon resignation or termination of the Approved Divestiture Agent in accordance with clauses 11.6(a), 11.6(b) and 11.6(c), or in the event that the Unsold Business is divested in accordance with this Undertaking.

11.6 Resignation, revocation or termination of the Approved Divestiture Agent

- (a) Nestlé must immediately notify the ACCC in the event that an Approved Divestiture Agent resigns or otherwise stops acting as an Approved Divestiture Agent before the Divestiture Date.
- (b) The ACCC may revoke an Approved Divestiture Agent's status as the Approved Divestiture Agent if the ACCC becomes aware that any information provided to it was incorrect, inaccurate or misleading.
- (c) The ACCC may approve any proposal by, or alternatively may direct, Nestlé to terminate an Approved Divestiture Agent if in the ACCC's view the Approved Divestiture Agent acts inconsistently with the provisions of this Undertaking or the Approved Divestiture Agent's Approved Terms of Appointment.

- (d) If clause 11.6(a), 11.6(b) or 11.6(c) applies then Nestlé must provide the ACCC with a Proposed Divestiture Agent Notice within five Business Days after the relevant event occurs, otherwise clause 11.3(j) applies.

12 Information

- (a) Nestlé must notify the ACCC and each Undertaking Appointment in writing of the proposed date of each of the following events at least five Business Days before each is proposed to occur:
 - (i) the Control Date; and
 - (ii) the Divestiture Date.
- (b) Nestlé must notify the ACCC and each Undertaking Appointment in writing of the occurrence of each of the following events within one Business Day after the date the event occurs:
 - (i) the Control Date; and
 - (ii) the Divestiture Date.
- (c) The ACCC may direct Nestlé in respect of its compliance with this Undertaking to, and Nestlé must:
 - (i) furnish information to the ACCC in the time and in the form requested by the ACCC;
 - (ii) produce documents and materials to the ACCC within Nestlé's custody, power or control in the time and in the form requested by the ACCC; and/or
 - (iii) attend the ACCC at a time and place appointed by the ACCC to answer any questions the ACCC (its Commissioners, its staff or its agents) may have.
- (d) Any direction made by the ACCC under clause 12(c) will be notified to Nestlé, in accordance with clause 17.1(b).
- (e) In respect of Nestlé's compliance with this Undertaking or an Undertaking Appointment's compliance with its Approved Terms of Appointment, the ACCC may request any Undertaking Appointment to:
 - (i) furnish information to the ACCC in the time and in the form requested by the ACCC;
 - (ii) produce documents and materials to the ACCC within the Undertaking Appointment's custody, power or control in the time and in the form requested by the ACCC; and/or
 - (iii) attend the ACCC at a time and place appointed by the ACCC to answer any questions the ACCC (its Commissioners, its staff or its agents) may have.
- (f) Nestlé will use its best endeavours to ensure that an Undertaking Appointment complies with any request from the ACCC in accordance with clause 12(e).

- (g) Information furnished, documents and material produced or information given in response to any request or direction from the ACCC under this clause 12 may be used by the ACCC for any purpose consistent with the exercise of its statutory duties.
- (h) The ACCC may in its discretion to be exercised in good faith:
 - (i) advise any Undertaking Appointment of any request made by it under this clause 12; and/or
 - (ii) provide copies to any Undertaking Appointment of any information furnished, documents and material produced or information given to it under this clause 12.
- (i) Nothing in this clause 12 requires the provision of information or documents in respect of which Nestlé has a claim of legal professional or other privilege.

13 Disclosure of this Undertaking

- (a) Nestlé and the ACCC agree that Schedule 5, Schedule 6 and Schedule 8 will remain confidential at all times.
- (b) Nestlé acknowledges that the ACCC may provide each Undertaking Appointment with a copy of this Undertaking which includes unredacted versions of Schedule 5, Schedule 6 and Schedule 8.
- (c) Nestlé acknowledges that the ACCC may, subject to clause 13(a):
 - (i) make this Undertaking publicly available; and
 - (ii) publish this Undertaking on its Public Section 87B Undertakings Register; and
 - (iii) from time to time publicly refer to this Undertaking.
- (d) Nothing in clause 13(a) or the confidential parts of this Undertaking referred to in clause 13(a) prevents the ACCC from disclosing such information as is:
 - (i) required by law;
 - (ii) permitted by s 155AAA of the Act;
 - (iii) necessary for the purpose of enforcement action under section 87B of the Act; or
 - (iv) necessary for the purpose of making such market inquiries as the ACCC thinks fit to assess the impact on competition arising in connection with this Undertaking.
- (e) Nothing in clause 13(a) or the confidential parts of this Undertaking referred to in clause 13(a) prevents the ACCC from using the information contained in this Undertaking for any purpose consistent with its statutory functions and powers.

14 Obligation to procure

Where the performance of an obligation under this Undertaking requires a Related Body Corporate of Nestlé to take or refrain from taking some action, Nestlé will procure that Related Body Corporate to take or refrain from taking that action, as the case may be.

15 No Derogation

- (a) This Undertaking does not prevent the ACCC from taking enforcement action at any time whether during or after the period of this Undertaking in respect of any breach by Nestlé of any term of this Undertaking.
- (b) Nothing in this Undertaking is intended to restrict the right of the ACCC to take action under the Act for penalties or other remedies in the event that Nestlé does not fully implement and/or perform its obligations under this Undertaking or in any other event where the ACCC decides to take action under the Act for penalties or other remedies.

16 Costs

Nestlé must pay all of its own costs incurred in relation to this Undertaking.

17 Notices

17.1 Giving Notices

- (a) Any notice or communication to the ACCC pursuant to this Undertaking must be sent to:

Email address: mergers@accc.gov.au,
Attention: Executive General Manager
Mergers and Adjudication Group

With a copy sent to: mergersucu@accc.gov.au
Director, Undertaking Compliance Unit
Merger Coordination and Strategy Branch

- (b) Any notice or communication to Nestlé pursuant to this Undertaking must be sent to:

Name: Nestlé Australia
Address: Building D
1 Homebush Bay Drive
Rhodes NSW 2138
Email Address: peter.lloyd@au.nestle.com
Fax number: +61 2 9736 0406
Attention: Peter Lloyd

With a copy sent to

Name: King & Wood Mallesons
Address: Level 61, Governor Phillip Tower
1 Farrer Place
Sydney NSW 2000
Email Address: sharon.henrick@au.kwm.com
Fax number: +61 2 9296 3999
Attention: Sharon Henrick

- (c) If sent by post, notices are taken to be received three Business Days after posting (or seven Business Days after posting if sent to or from a place outside Australia).
- (d) If sent by email, notices are taken to be received at the time shown in the email as the time the email was sent.

17.2 Change of contact details

- (a) Nestlé or the ACCC must notify the other party of a change to its contact details within three Business Days.
- (b) Any notice or communication will be sent to the most recently advised contact details and subject to clauses 17.1(c) and 17.1(d), will be taken to be received.

18 Defined terms and interpretation

18.1 Definitions in the Dictionary

A term or expression starting with a capital letter:

- (a) which is defined in the Dictionary in Part 1 of Schedule 1 (**Dictionary**), has the meaning given to it in the Dictionary; or
- (b) which is defined in the Corporations Act, but is not defined in the Dictionary, has the meaning given to it in the Corporations Act.

18.2 Interpretation

Part 2 of Schedule 1 sets out rules of interpretation for this Undertaking.

Executed as an Undertaking

Executed by Nestlé S.A.:

By: 
Name: PETER LLOYD
Title: ATTORNEY

19 NOVEMBER 2012
Date

Executed by Nestlé Australia Ltd:

By: 
Name: PETER LLOYD
Title: GENERAL COUNSEL + COMPANY SECRETARY

19 NOVEMBER 2012
Date

Executed by Duke Holdco Pty Ltd:

By: 
Name: PETER LLOYD
Title: ATTORNEY

19 NOVEMBER 2012
Date

Accepted by the Australian Competition and Consumer Commission pursuant to section 87B of the *Competition and Consumer Act 2010* on:



And signed on behalf of the Commission:

22 November 2012
Date

Chairman

Date

Schedule 1

1 Dictionary

ACCC means the Australian Competition and Consumer Commission.

Act means the Competition and Consumer Act 2010 (Cth).

Agreements means any contract, arrangement or understanding, including any contract, arrangement or understanding to renew, amend, vary or extend any contract, arrangement or understanding.

Approved Audit Plan means the plan approved by the ACCC in accordance with the terms of this Undertaking, as amended from time to time by ACCC direction given under clause **Error! Reference source not found.**, by which the Approved Independent Auditor will audit and report upon compliance with this Undertaking.

Approved Business Sale Agreement means the standard form contract for the divestiture of the Unsold Business which has been approved by the ACCC in accordance with the terms of this Undertaking.

Approved Divestiture Agent means the person appointed under clause **Error! Reference source not found.** of this Undertaking.

Approved Divestiture Products Supply Agreement has the meaning given to it in clause 5.5(a)(ii).

Approved Independent Auditor means the person appointed under clause **Error! Reference source not found.** or **Error! Reference source not found.** of this Undertaking.

Approved Independent Manager means the person appointed under clause **Error! Reference source not found.** or **Error! Reference source not found.** of this Undertaking.

Approved Interim Supply Agreement means any agreement approved by the ACCC in accordance with the terms of this Undertaking.

Approved Marketing and Sale Plan means the plan approved by the ACCC in accordance with the terms of this Undertaking, as amended from time to time by ACCC direction given under clause **Error! Reference source not found.** of this Undertaking, by which the Approved Divestiture Agent will market and effect the divestiture of the Unsold Business.

Approved Purchaser means the person approved by the ACCC under clause **Error! Reference source not found.** of this Undertaking.

Approved Sale and Purchase Agreement means the contract approved by the ACCC in accordance with the terms of this Undertaking, by which the Approved Purchaser will acquire the Divestiture Business from Nestlé.

Approved Separation and Management Plan means the plan approved by the ACCC in accordance with the terms of this Undertaking, as amended from time to time by ACCC direction given under clause **Error! Reference source not found.** of this Undertaking, by which the Approved Independent Manager will:

- (a) separate the Divestiture Business from any business to be retained by Nestlé; and
- (b) manage and operate the Divestiture Business independently of Nestlé and any retained business.

Approved Technical Assistance Agreement means any agreement approved by the ACCC in accordance with the terms of this Undertaking.

Approved Terms of Appointment means the terms of appointment for the Approved Independent Manager, Approved Independent Auditor or Approved Divestiture Agent, as applicable, as approved by the ACCC in accordance with the terms of this Undertaking.

Associated Entity has the meaning given by section 50AAA of the Corporations Act.

Audit Report has the meaning given to it in clause 10.7(a) of this Undertaking.

Business Day means a day other than a Saturday or Sunday on which banks are open for business generally in the Australian Capital Territory.

Clinical Trial Results means data, material, documents and information related to clinical studies carried out in respect of the Divestiture Products, or any ingredient or component that form a part of the Divestiture Products, or human milk oligosaccharides developed exclusively from research and development acquired by Nestlé from Pfizer on the Control Date.

Commencement Date means the date described in clause 3.1 of this Undertaking.

Confidential Product Supply Information has the meaning given to it in clause 8.7 in this Undertaking.

Consents mean any Government Consents or Third Party Consents but does not include a permission for the purposes of clause 5.9 of this Undertaking.

Control Date means the date on which the Proposed Acquisition is completed.

Corporations Act means the *Corporations Act 2001* (Cth).

Dedicated Personnel has the meaning given to it in Schedule 4 to this Undertaking.

Divestiture Business means the business described in Schedule 4 to this Undertaking as conducted in Australia.

Divestiture Date means the date on which the divestiture of the Divestiture Business or the Unsold Business is completed.

Divestiture Products means all infant nutrition products sold by the Divestiture Business in Australia in existence as at the Control Date under the S-26/SMA Brand Portfolio, which are identified in Schedule 4 to this Undertaking, and the Pipeline Products identified in Confidential Schedule 6 to this Undertaking.

Divestiture Products Trademark Licence has the meaning given to it in Schedule 4 to this Undertaking.

Duke Holdco means Duke Holdco Pty Ltd (ACN 160 607 509).

Entities Connected has the meaning given to it by section 64B of the Corporations Act.

Establishment Audit has the meaning given to it in clause 10.7(b)(i) of this Undertaking.

Government Consents means any consents from any government agency required for the assignment, novation, sale, sub-licensing or transfer of any assets, licences, permits, approval or contracts required for the conduct of the Divestiture Business.

HMO Information means any trade secrets, confidential information, inventions, discoveries, know-how, product formulations, product specifications, practices, processes, procedures, specifications, engineering data, results, software, firmware, programs and source disks, source codes, databases and data collections, designs, research records, records of inventions, test

information, market surveys and marketing know-how, works of authorship and the copyrights therein, and discoveries, conceptions, ideas, inventions, compositions, and methods, whether or not patentable or susceptible to any other form of legal protection, created as a result of Pfizer's human milk oligosaccharides research and development as outlined in Confidential Schedule 8.

Initial Sale Period is defined in clause 1 of Confidential Schedule 5 to this Undertaking.

Licensed Marks has the meaning given to it in Schedule 4 to this Undertaking.

Material Change means any change to the structure, attributes, extent or operations of the Divestiture Business or product or service sold by a Divestiture Business that may affect, or impact on, the competitiveness of the Divestiture Business.

Material Contract means any Agreement that is necessary for the operation of the Divestiture Business.

Nestlé means the entity referred to in clause 1 of this Undertaking.

Nestlé Australia means Nestlé Australia Ltd ACN 000 011 316.

Pfizer means the entity described in clause 2.1(d) of this Undertaking.

Pfizer Australia means the entity described in clause 2.1(e) of this Undertaking.

Pfizer Undertaking means the court enforceable undertaking given by Pfizer Australia to the ACCC pursuant to section 87B of the Act and accepted by the ACCC on the same date as this Undertaking, a copy of which is attached at Schedule 7 of this Undertaking.

Pipeline Products means those products as set forth in Confidential Schedule 6.

Process Technology means any trade secrets, confidential information, inventions, discoveries, know-how, product formulations, product specifications, practices, processes, procedures, specifications, engineering data, results, software, firmware, programs and source disks, source codes, databases and data collections, designs, research records, records of inventions, test information, market surveys and marketing know-how, works of authorship and the copyrights therein, and discoveries, conceptions, ideas, inventions, compositions, and methods, whether or not patentable or susceptible to any other form of legal protection, necessary to develop or manufacture the Divestiture Products, or any ingredient or component that form a part of the Divestiture Products, and in respect of which Nestlé, after the Control Date, owns the underlying intellectual property rights.

Process Technology Provision Period means the time period described in clause 5.6 of this Undertaking.

Product Trial Results means data, material, documents and information related to the product trials carried out with respect to the Divestiture Products or any ingredient or component that form a part of the Divestiture Products.

Proposed Acquisition is defined in clause 2.2(a) of this Undertaking.

Proposed Divestiture Agent means a person named in a Proposed Divestiture Agent Notice.

Proposed Divestiture Agent Notice means a completed notice in the form of Schedule 3 to this Undertaking provided to the ACCC with all required attachments in relation to the Proposed Divestiture Agent.

Proposed Independent Auditor means a person named in a Proposed Independent Auditor Notice.

Proposed Independent Auditor Notice means a completed notice in the form of Schedule 3 to this Undertaking provided to the ACCC with all required attachments in relation to the Proposed Independent Auditor.

Proposed Independent Manager means a person named in a Proposed Independent Manager Notice.

Proposed Independent Manager Notice means a completed notice in the form of Schedule 3 to this Undertaking provided to the ACCC with all required attachments in relation to the Proposed Independent Manager.

Proposed Purchaser means a person named in a Proposed Purchaser Notice.

Proposed Purchaser Notice means a completed notice in the form of Schedule 2 to this Undertaking provided to the ACCC with all required attachments in relation to the Proposed Purchaser.

Public Section 87B Undertakings Register means the ACCC's public register of section 87B undertakings, available at www.accc.gov.au.

Related Bodies Corporate has the meaning given to it by section 50 of the Corporations Act.

Related Entities has the meaning given to it by section 9 of the Corporations Act.

Related Parties has the meaning given to it by section 228 of the Corporations Act.

Retention Plan is defined in clause 2 of Confidential Schedule 5 to this Undertaking.

Ring Fenced Information has the meaning given to it in clause 8.6(a) of this undertaking.

S-26/SMA Brand Portfolio has the meaning given to it in Schedule 4 to this Undertaking.

Separation Change Notification has the meaning given to it in clause 8.4(a) of this Undertaking.

Subsidiary has the meaning given by section 4A of the Act.

Technical Assistance includes advising on technical knowledge documentation (other than technical knowledge documentation covered by the Technology Licence), supporting the Approved Purchaser on acquiring specific assets necessary for the ongoing conduct of the Divestiture Business, providing staff with suitable experience and skills to assist and/or advise on technical issues (other than technical issues covered by the Technology Licence or the Approved Divestiture Products Supply Agreement), assisting in training for the Approved Purchaser's staff, and providing guidance on regulatory and legal aspects relating to the transfer of or application for licences.

Technology Licence has the meaning given to it in Schedule 4 to this Undertaking.

Third Party Consents means any Consent from any entity that is not a government agency required for the assignment, novation, sale, sub-licensing or transfer of any assets, licences, permits, approval or contracts required for the conduct of the Divestiture Business.

Trade Marks Act means the *Trade Marks Act 1995* (Cth).

Transferred Personnel has the meaning given to it in clause 5.3 of this Undertaking.

Undertaking is a reference to all provisions of this document, including its schedules and as varied from time to time under section 87B of the Act.

Undertaking Appointment means the Approved Independent Manager, the Approved Independent Auditor or the Approved Divestiture Agent, as applicable.

Unsold Business has the meaning given to it in clause 11.1 of this Undertaking.

2 Interpretation

In the interpretation of this Undertaking, the following provisions apply unless the context otherwise requires:

- (a) a reference to this Undertaking includes all of the provisions of this document including its schedules;
- (b) headings are inserted for convenience only and do not affect the interpretation of this Undertaking;
- (c) if the day on which any act, matter or thing is to be done under this Undertaking is not a Business Day, the act, matter or thing must be done on the next Business Day;
- (d) a reference in this Undertaking to any law, legislation or legislative provision includes any statutory modification, amendment or re-enactment, and any subordinate legislation or regulations issued under that legislation or legislative provision;
- (e) a reference in this Undertaking to any company includes its Related Bodies Corporate;
- (f) a reference in this Undertaking to any agreement or document is to that agreement or document as amended, novated, supplemented or replaced;
- (g) a reference to a clause, part, schedule or attachment is a reference to a clause, part, schedule or attachment of or to this Undertaking;
- (h) an expression importing a natural person includes any company, trust, partnership, joint venture, association, body corporate or governmental agency;
- (i) where a word or phrase is given a defined meaning, another part of speech or other grammatical form in respect of that word or phrase has a corresponding meaning;
- (j) a word which denotes the singular also denotes the plural, a word which denotes the plural also denotes the singular, and a reference to any gender also denotes the other genders;
- (k) a reference to the words 'such as', 'including', 'particularly' and similar expressions is to be construed without limitation;
- (l) a construction that would promote the purpose - or object - underlying the Undertaking (whether expressly stated or not) will be preferred to a construction that would not promote that purpose or object;
- (m) material not forming part of this Undertaking may be considered to:
 - (i) confirm the meaning of a clause is the ordinary meaning conveyed by the text of the clause, taking into account its context in the Undertaking and the competition concerns intended to be addressed by the Undertaking and the clause in question; or
 - (ii) determine the meaning of the clause when the ordinary meaning conveyed by the text of the clause, taking into account its context in the Undertaking and the purpose or object underlying the Undertaking, leads to a result that does not promote the purpose or object underlying the Undertaking;
- (n) in determining whether consideration should be given to any material in accordance with paragraph (m), or in considering any weight to be given to any such material, regard must be had, in addition to any other relevant matters, to the:

- (i) effect that reliance on the ordinary meaning conveyed by the text of the clause would, have (taking into account its context in the Undertaking and whether that meaning promotes the purpose or object of the Undertaking); and
 - (ii) need to ensure that the result of the Undertaking is to completely address any ACCC competition concerns;
- (o) the ACCC may authorise the Mergers Review Committee, a member of the ACCC or a member of the ACCC staff, to exercise a decision making function under this Undertaking on its behalf and that authorisation may be subject to any conditions which the ACCC may impose;
- (p) in performing its obligations under this Undertaking, Nestlé will do everything reasonably within its power to ensure that its performance of those obligations is done in a manner which is consistent with promoting the purpose and object of this Undertaking;
- (q) a reference to:
 - (i) a thing (including, but not limited to, a chose in action or other right) includes a part of that thing;
 - (ii) a party includes its successors and permitted assigns; and
 - (iii) a monetary amount is in Australian dollars.

Schedule 2 – Proposed Purchaser Notice Form

Please note in relation to information given on or in relation to this form, giving false or misleading information is a serious offence.

The completed form with requested documents attached may be provided to the ACCC using the following method:

Email

Subject line: Proposed Purchaser Notice – Nestlé section 87B Undertaking

Address: mergers@accc.gov.au

Attention: Executive General Manager - Mergers and Adjudication Group

With an email copy sent to:

Address: mergersucu@accc.gov.au

Attention: Director, Undertaking Compliance Unit Merger Coordination and Strategy Branch

1. In relation to the Proposed Purchaser, please provide the following information:
 - (a) Name of the Proposed Purchaser:
 - (b) Address:
 - (c) Contact name:
 - (d) Telephone number:
 - (e) Other contact details:
2. Please attach a submission containing the following information to this form:
 - (a) a description of the business carried on by the Proposed Purchaser including the locations in which the Proposed Purchaser carries on its business.
 - (b) details of the Proposed Purchaser's experience in the relevant market/s.
 - (c) the names of the owner/s and the directors of the Proposed Purchaser.
 - (d) a section addressing the factors set out in clause 7.3(b) of this Undertaking, including any information adverse to the Proposed Purchaser, in the power, possession or control of Nestlé.
 - (e) details of any of the following types of relationships between Nestlé and the Proposed Purchaser or confirmation that no such relationship exists whether within Australia or outside of Australia:
 - (i) Nestlé and the Proposed Purchaser are Associated Entities;
 - (ii) Nestlé is an Entity Connected with the Proposed Purchaser;
 - (iii) the Proposed Purchaser is an Entity Connected with Nestlé;
 - (iv) Nestlé and the Proposed Purchaser are Related Entities;

- (v) Nestlé and the Proposed Purchaser are Related Parties;
- (vi) any Related Party, Related Entity or Entity Connected with Nestlé is a Related Party, Related Entity or Entity Connected with the Proposed Purchaser;
- (vii) Nestlé and the Proposed Purchaser have a contractual relationship or had one within the past three years, other than those attached to this form;
- (viii) the Proposed Purchaser is a supplier of Nestlé or has been in the past three years;
- (ix) Nestlé is a supplier of the Proposed Purchaser or has been in the past three years; and
- (x) any other relationship between Nestlé and the Proposed Purchaser that allows one to affect the business decisions of the other.

3. Please also attach to this form:

- (a) the finalised draft of the sale and purchase agreement for approval by the ACCC in accordance with this Undertaking.
- (b) the finalised draft of any technical assistance agreement for approval by the ACCC in accordance with this Undertaking.
- (c) the finalised draft of any interim supply agreement for approval by the ACCC in accordance with this Undertaking.
- (d) any documents required to support the information provided by Nestlé pursuant to this form.

Schedule 3 – Undertaking Appointment

This form sets out the information required by the ACCC in relation to proposed appointment of the following positions under the Undertaking:

- Independent Manager; or
- Independent Auditor; or
- Divestiture Agent;

(the **Undertaking Appointments**).

This form is to be used for each of the above appointments.

Please note in relation to information given on in relation to this form, giving false or misleading information is a serious offence.

Method of Delivery to the ACCC

The completed Undertaking Appointment form, along with the additional requested information is to be provided to the ACCC with the subject line (*proposed* [only include relevant Undertaking Appointment i.e. Independent Auditor / Divestiture Agent / Independent Manager] *Form – Nestlé section 87B Undertaking* to the below email addresses:

1. mergers@accc.gov.au

Attention: Executive General Manager

Mergers and Adjudication Group

2. **With a copy sent to:**

mergersucu@accc.gov.au

Attention: Director

Undertaking Compliance Unit

Merger Coordination and Strategy Branch

Information Required

The ACCC requires the following information in order to assess a proposed Independent Auditor, Divestiture Agent or Independent Manager (i.e. the relevant undertaking appointment).

1. Proposed Undertaking Appointment Details:
 - (a) the name of the Proposed Undertaking Appointment; and
 - (b) the name of the proposed Undertaking Appointment's employer and contact details including:
 - Address;
 - Contact name;
 - Telephone number;

- Other contact details.

2. A submission containing the following information:

- (a) details of Undertaking Appointment's qualifications and experience relevant to his or her proposed role pursuant to the Undertaking.
- (b) the names of the owner/s and the directors (delete any that do not apply) of the Undertaking Appointment's employer.
- (c) details of any of the following types of relationships between Nestlé and the Undertaking Appointment or the Undertaking Appointment's employer or confirmation that no such relationship exists whether within Australia or outside of Australia:
 - (i) Nestlé and the Undertaking Appointment's employer are Associated Entities.
 - (ii) Nestlé is an Entity Connected with the Undertaking Appointment's employer.
 - (iii) The Undertaking Appointment's employer is an Entity Connected with Nestlé.
 - (iv) Nestlé and the Undertaking Appointment's employer are Related Entities.
 - (v) Nestlé and the Undertaking Appointment's employer are Related Parties.
 - (vi) any Related Party, Related Entity or Entity Connected with Nestlé is a Related Party, Related Entity or Entity Connected with the Undertaking Appointment.
 - (vii) Nestlé and the Undertaking Appointment or the Undertaking Appointment's employer have a contractual relationship or had one within the past three years, other than those attached to this form.
 - (viii) the Undertaking Appointment's employer is a supplier of Nestlé or has been in the past three years.
 - (ix) Nestlé is a supplier of the Undertaking Appointment's employer or has been in the past three years.
 - (x) any other relationship between Nestlé and the Undertaking Appointment or the Undertaking Appointment's employer that allows one to affect the business decisions of the other.

3. A document outlining the terms of appointment for the proposed Undertaking Appointment.

Specific Information required for Undertaking Appointments

The ACCC requires the below information in relation to the relevant Undertaking Appointment.

Proposed Independent Auditor

- 1. The finalised draft audit plan for the Divestiture Business, drafted by the Proposed Independent Auditor and outlining (to the extent possible) the Proposed Independent Auditor's plans in regard to the establishment audit and the Audit Report.

Proposed Divestiture Agent

- 1. The finalised draft business sale agreement drafted by the Proposed Divestiture Agent in consultation with Nestlé. The draft business sale agreement is to provide for the divestiture of the Unsold Business.
- 2. The Proposed Divestiture Agent's draft marketing and sale plan for the Unsold Business.

Proposed Independent Manager

1. The finalised draft separation and management plan for the Divestiture Business detailing the measures and timing to be implemented by Nestlé's and the Approved Independent Manager in order to fulfil Nestlé's and the Approved Independent Manager's obligations pursuant to this Undertaking. This plan is to be drafted by the Proposed Independent Manager in consultation with Nestlé to achieve the objectives of the Undertaking including:
 - (a) the intended mode of operation of the Divestiture Business until completion of its divestiture;
 - (b) separation measures to ensure the Divestiture Business is operated in a manner which is financially and operationally separate from Nestlé, including the:
 - (i) separation of the books and records of the Divestiture Business from those of Nestlé;
 - (ii) severance of the Divestiture Business's participation in any private shared information technology networks, to the extent possible without compromising the viability of the Divestiture Business;
 - (ii) implementation of specific electronic, information and physical security measures to maintain the confidentiality of any competitively sensitive information of the Divestiture Business; and
 - (iv) severance of arrangements to share personnel and plant between the Divestiture Business and any businesses to be retained by Nestlé, to the extent possible without compromising the viability of the Divestiture Business;
 - (c) details of contracts for the provision of goods or services to the Divestiture Business which will expire after the Divestiture Date to the Approved Purchaser and the actions which will be taken to ensure they are replaced, renewed and/or renegotiated on commercial terms favourable to the Divestiture Business;
 - (d) personnel planning to maintain appropriate personnel levels and ensure that the Divestiture Business has access to all personnel necessary to operate the Divestiture Business;
 - (e) any Material Changes to the Divestiture Business required in order to fulfil Nestlé's and the Approved Independent Manager's obligations pursuant to the Undertaking;
 - (f) the cooperation required from the Independent Manager with Nestlé in relation to the divestiture of the Divestiture Business, including:
 - (i) the method by which due diligence information, site visits and personnel interviews by and to prospective purchasers of the Divestiture Business will be managed; and
 - (ii) the method by which the Independent Manager and Nestlé will preserve the confidentiality of the Divestiture Business's competitively sensitive information from Nestlé and its advisers throughout this process.
 - (g) a protocol whereby the Approved Independent Manager can provide any information requested by Nestlé without disclosing the details of the Divestiture Business's competitively sensitive information to Nestlé.

Schedule 4 – Divestiture Business

Licence of the S-26/SMA Brand Portfolio and associated intellectual property

1

S-26/SMA Brand Portfolio

A fully paid-up 10 year licence to the following brands including any sub-brands:

(a) S-26

(b) S-26 Gold; and

(c) SMA

(together the S-26/SMA Brand Portfolio) in connection with the:

(i) exclusive rights to manufacture, packaging, sale, offering for sale, marketing, promotion, advertising, disposition and distribution of infant nutrition products in Australia; and

(ii) rights to manufacture and packaging of infant nutrition products outside of Australia for sale within Australia;

(the Divestiture Products Trademark Licence).

For the avoidance of doubt, the Divestiture Products Trademark Licence would allow the:

(i) licensee to use relevant trade marks to manufacture the Divestiture Products and other infant nutrition products on their own accord in Australia; and

(ii) the right to co-brand such products as part of a brand transition plan, or to change the size, prominence or placement of the Licensed Marks (as defined below) as part of a brand transition plan in Australia.

The trade marks that will be the subject of the Divestiture Products Trademark Licence are:

Trade mark	Registration No.	Registration Date
ALPHA PRO	999148	22/04/2004
PROGRESS	474796	16/10/1987
PROGRESS	474795	16/10/1987
PROGRESS GOLD	817197	14/12/1999
S-26	778493	16/11/1998
S-26	1304458	15/06/2009
S-26 AR	778495	16/11/1998
S-26 EH	898766	20/12/2001
S-26 GOLD	749734	27/11/1997
S-26 GOLD Device	778496	16/11/1998

S-26 GOLD ALPHA PRO	999149	22/04/2004
S-26 GOLD PREMGRO	1289494	12/03/2009
S-26 HA	888141	04/09/2001
S-26 Device	203687	21/07/1966
S-26 LBW GOLD Device	954948	22/05/2003
S-26 LF	778494	16/11/1998
S-26 LF Device	748515	12/11/1997
S-26 PROGRESS	868202	06/03/2001
S-26 PROGRESS GOLD	868199	06/03/2001
S-26 SOY	1142084	19/10/2006
S-26 AR Device	748514	12/11/1997
SMA	1304457	15/06/2009
SMA (stylized)	551675	06/03/1991
SMA (stylized)	748095	06/11/1997
SMA Device	86047	11/02/1946
SMA Device	163286	11/02/1946

(the **Licensed Marks**).

The portfolio of Licensed Marks may be updated prior to the divestiture of the Divestiture Business to reflect changes made pursuant to clause 8.4 of this Undertaking.

2 Associated intellectual property

A fully paid-up, perpetual licence in Australia to the formulations of the Divestiture Products and to the Process Technology, which in each case is non-exclusive (except as to the formulations which is exclusive for 10 years), which licence includes rights to improvements to product formulations and Process Technology developments with respect to the Divestiture Products developed within the Process Technology Provision Period (the **Technology Licence**).

For the avoidance of doubt, the Technology Licence would allow the Approved Purchaser to:

- (i) manufacture, package, sell, offer for sale, market, promote, advertise dispose and distribute products in Australia under any brand;
- (ii) manufacture and package those products outside of Australia for sale within Australia; and
- (iii) make modifications and improvements to the licensed formulations and the Process Technology for use in Australia.

Except with respect to the exclusivity as to formulations, nothing in this Undertaking will restrict Nestlé from using Process Technology (such as packaging patents and know-how) in the manufacture of products that are not Divestiture Products. These products would include products manufactured by Nestlé, or products acquired by Nestlé from Pfizer on the Control Date and which are not Divestiture Products.

In addition to the know-how and other unregistered rights, the Technology

	Licence includes the following patents: (a) Patents <table><tr><th>Patent</th><th>Application No.</th><th>Patent No.</th></tr><tr><td>Infant Formula Compositions Containing Lutein And Zeaxanthin</td><td>2003251396</td><td>2003251396</td></tr><tr><td>Infant Formula Compositions Comprising Increased Amounts Of Alpha-lactalbumin</td><td>2002357354</td><td>2002357354</td></tr><tr><td>Infant Formula Containing Nucleotides</td><td>2010203123</td><td></td></tr><tr><td>Infant Formula Container</td><td>11986/2011</td><td>336869</td></tr></table> (the Patents) The portfolio of Patents may be updated prior to the divestiture of the Divestiture Business to reflect changes made pursuant to clause 8.4 of this Undertaking. (b) Other intellectual property rights A perpetual licence in Australia to rights in the Clinical Trial Results and Product Trial Results carried out from the Control Date until five years from the Divestiture Date.	Patent	Application No.	Patent No.	Infant Formula Compositions Containing Lutein And Zeaxanthin	2003251396	2003251396	Infant Formula Compositions Comprising Increased Amounts Of Alpha-lactalbumin	2002357354	2002357354	Infant Formula Containing Nucleotides	2010203123		Infant Formula Container	11986/2011	336869
Patent	Application No.	Patent No.														
Infant Formula Compositions Containing Lutein And Zeaxanthin	2003251396	2003251396														
Infant Formula Compositions Comprising Increased Amounts Of Alpha-lactalbumin	2002357354	2002357354														
Infant Formula Containing Nucleotides	2010203123															
Infant Formula Container	11986/2011	336869														
HMO Information	Access to all HMO Information existing as of the Control Date and acquired by Nestlé from Pfizer on the Control Date for use in connection with infant nutrition products in Australia.															
Real Property	Transitional real estate arrangements whereby the divestiture buyer may continue to utilise a portion of Pfizer's premises at its West Ryde Headquarters in Sydney (which is a shared site with other Pfizer business units). Nestlé has asked for a 12 month Transitional Services Agreement with respect to the premises that are currently used by Pfizer Nutrition's employees. Pfizer is agreeable to this arrangement. The parties will finalise these arrangements in due course.															
Permits	All permits, licences, consents, planning permissions, product registrations, certifications or authorisations issued by a government agency and related documentation and used primarily in relation to, or required for the ownership and operation of, or required to facilitate the operation of, the Divestiture Business.															

Inventory	All inventory used or intended for use exclusively in connection with the Divestiture Business, being finished goods, packaging, advertising, and marketing materials, catalogues, stationary and including items in transit from a supplier or to a customer or on consignment with a customer owned by the Divestiture Business at the Divestiture Date (Inventory).
Employees	Transfer of all the employees engaged in Australia in the Pfizer Nutrition Australia business, who are wholly or primarily engaged in, or necessary for, the operation of the Divestiture Business (Dedicated Personnel) and who consent to the transfer of their employment. The Retention Plan will apply to Dedicated Personnel.
Other assets	• All advertising, marketing, sales and promotional materials primarily related to, or required for the ownership and operation of, or required to facilitate the operation of, the Divestiture Business and located within Australia; and • Any equipment, personal computers, vehicles and other tangible assets used primarily in relation to, or required for the ownership and operation of, or required to facilitate the operation of, the Divestiture Business.
Business Records	All customer and vendor lists, and business, financial and legal records, books, documents, literature, files, information and materials primarily related to, or required for the ownership and operation of, or required to facilitate the operation of, the Divestiture Business.
Contracts	All contracts, sales orders, purchase orders, instruments and other commitments, obligations and arrangements primarily related to, or required for the ownership and operation of, or required to facilitate the operation of, the Divestiture Business.
Existing Clinical Trial Results	Documents, data, information and materials sufficient to reflect the Clinical Trial Results conducted in respect of the Divestiture Products or any ingredient or component that form a part of the Divestiture Products, as previously conducted by Pfizer prior to the Control Date and acquired by Nestlé on the Control Date.
Existing Product Trial Results	Documents, data, information and materials sufficient to reflect the Product Trial Results conducted in respect of the Divestiture Products, or any ingredient or component that form a part of the Divestiture Products, as previously conducted by Pfizer prior to the Control Date and acquired by Nestlé on the Control Date.

Confidential Schedule 5 – Confidential Clauses

Confidential Schedule 6 – Pipeline Products

Schedule 7 – Pfizer Undertaking

Confidential Schedule 8 – HMO Information

